RETIREMENT REGISTER ANALYST

MODULE 5-10

Review of the Course Learning Objectives

Course Learning Objectives

- Investments and Financial Planning
- Retirement Planning and Government Income Programs
- Employer-sponsored Pension Plans
- RRSPs and TFSAs
- Retirement Decisions

In Canada, the period of time from 1947 to 1964 is often referred to as the *baby boom*, while the approximately 10-year period following 1964 is referred to as the *baby bust*. In combination, the baby boom and baby bust are sometimes referred to as the *baby boom tidal wave*.

The first baby boom *echo* was expected in the mid-1970s—approximately 25 years after the beginning of the baby boom—however, only 1974 and 1975 saw a significant increase in the number of births. It was not until the period from 1988 to 1995 (with the peak in 1990), that Canada underwent a true baby boom echo as baby boomers had a large number of births. Since that time, the number of births again declined with 2000 marking the nadir. In 2000, the number of births was so low, it was below even the lowest point during the baby bust period. In the ensuing years, the birth rate has again moved upward.

Between 2002 and 2007 there was a slight increase in the number of births as the grandchildren of the boomers began their families.

Baby boom tidal wave

Only four countries have experienced a baby boom tidal wave of notable severity, namely Canada, United States, Australia, and New Zealand. As a result, these countries are experiencing a general aging of their populations. However, other countries are also experiencing population aging as a result of government or voluntary fertility controls, including Japan, China, and India.

The tidal waves in Canada and the United States are often referred to as the post-war baby boom, leading one to believe that the increase in births is a direct result of soldiers returning from war. In fact, the baby boom can more appropriately be attributed to the strong economy of the post-war era in comparison to the previous depression era. In the period of a strong economy, couples felt financially secure and could afford to have large families.

Increased Life Expectancies

Life expectancy is the average number of years of life remaining for a person at a specific age, assuming the current mortality rates prevail for the remainder of that person's life. Life expectancies have been increasing as the result of advances in medicine, hygiene, and living standards, as demonstrated in the following table:

Increase in Life Expectancy over Time

Year	At Birth		At Age 65		At Age 75	
	Male	Female	Male	Female	Male	Female
1921	58.8	60.6	13.0	13.6	7.6	8.0
1941	63.0	66.3	12.8	14.1	7.5	8.2
1961	68.4	74.2	13.5	16.1	8.2	9.5
1981	71.9	79.0	14.6	18.9	9.0	11.9
1996	75.4	81.2	16.0	19.9	9.7	12.4
2001	76.9	82.0	17.0	20.5	10.3	12.9
2005	78.0	82.7	17.9	21.1	10.2	12.7
2008	78.5	83.0	18.2	21.3	11.2	13.5
2013	79.6	83.8	19.0	21.9	11.8	14.0
2016	79.9	84.0	19.3	22.1	12.1	14.2
2019	80.0	84.2	19.5	22.2	12.2	14.2
2022	79.3	83.8	19.3	22.1	12.1	14.2

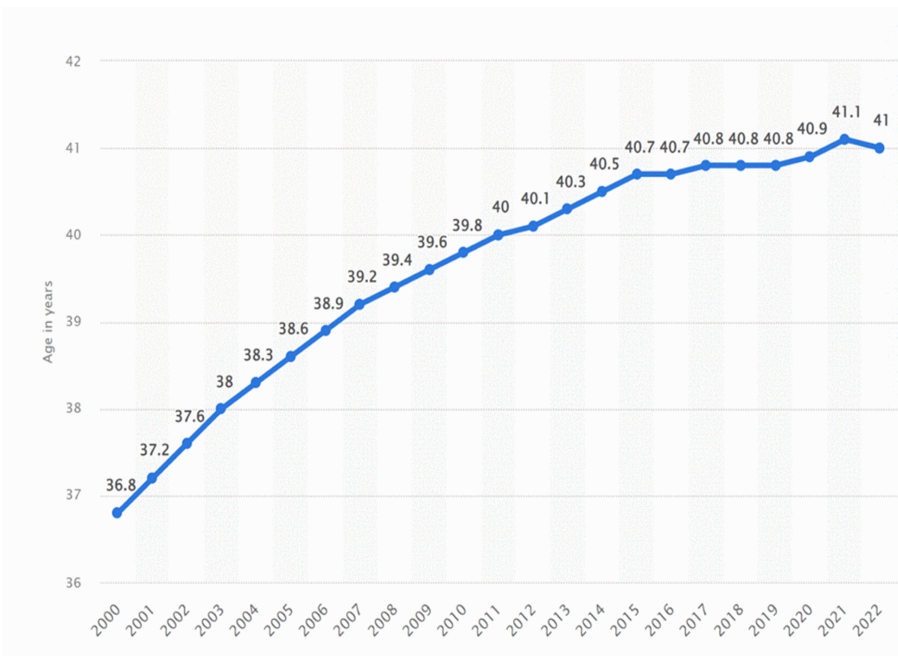
Source: Statistics Canada, Cansim table 84-537-XIE and 13-10-0114-01

The increase in life expectancy has been even more dramatic for females than it has been for males (an increase of 23.2 years for females between 1921 and 2022, compared to 20.5 years for males). As a result, the average female can expect to outlive the average male by approximately four-and-a-half years. This will create a growing social problem, as the majority of late retirees (those over 80) that need support will be female. This trend of increased life expectancy will mean a longer period of retirement for many individuals, and therefore, a need for accumulating larger amounts of retirement funds.

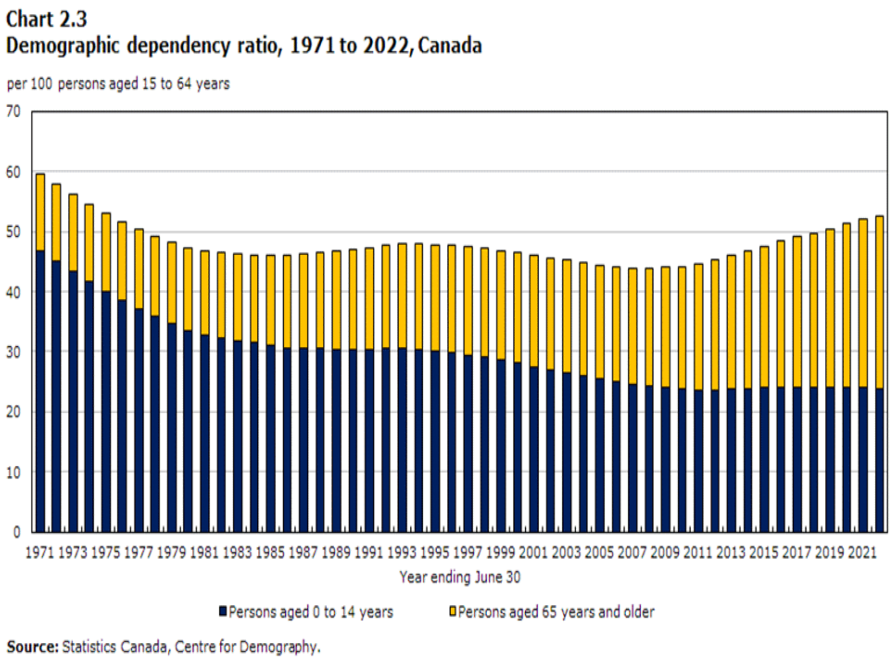
Changes in the Population's Age Structure

The following graphs show how the population distribution has changed in Canada over time. Starting with the end of the baby boom, the median age in Canada has been rising and will continue to do so into the future. Median age is the point where exactly one-half of the population is older, and the other half is younger. As of 2022, the median age of Canada's population was approximately 41.0 years. The percentage of the population that was 65 years or older has steadily increased and in 2021 there are now more people aged 65 and older than people aged 0 to 14.

Median age, Canada, 1901-2011



Canadian Population by Age Group



It is projected that Canada's population will age rapidly until 2031 by which time the entire baby boom generation would have attained age 65. After 2031, the population will continue aging, but at a slower rate. By 2036, individuals of traditional retirement age (aged 65 and over) will make up between 23% and 25% of Canada's total population—nearly double the level in 2009. The number of octogenarians and centenarians are also expected to increase dramatically in the ensuing decades. The percentage of the population aged 65 and over is summarized in the following table:

Aging of the Canadian Population

Year	Number of People Aged 65 and over	% of Population Aged 65 and over
1961	2,361,000	9.7
1991	3,173,300	11.8
2001	3,884,500	13.6
2011	4,544,000	15.4M
2021	5,870,600	19.6
2031	7,128,400	23.9
2036	9,900,000 - 10,900,000	23.0 - 25.0

Source: Statistics Canada

Implications for Government Retirement Programs

As mentioned earlier, the government's social programs began to have a significant effect on retirees in the 1960s when the OAS program was strengthened and CPP was introduced. OAS is funded out of general tax revenues, while CPP benefits are primarily funded by the contributions of the current labour force. This worked reasonably well in the early years, when only about 10% of the population was aged 65 or over, and life expectancies were about five to seven years less than they are today. Furthermore, at that time, six to seven workers were making CPP contributions for every eligible CPP recipient.

However, it is during the years between 2017 and 2046 that the baby boomers will have the most significant impact on the social retirement programs. By the year 2031, the peak of the boomers' retirement years, about 24% of the population will be aged 65 or over and there will be only 2.6 workers to make CPP contributions for every eligible recipient. Based on rapid advances in medicine in general, and gerontology in particular, it is possible that life expectancies will continue to increase.

It is obvious the baby boomers will place an enormous strain on government social programs. The number of people of normal retirement age will approximately double over the next 30 years, while the active labour force will be reduced by almost half.

Impact of Changing Family Structure

Government social programs have also increasingly taken into account the evolution of the Canadian family structure. The traditional make up of a family consisting of a mother and father, who are married, raising their biological children in one household, is no longer necessarily the norm.

Statistics Canada defines a *census family* as:

- a married couple and the children, if any, of either and/or both spouses
- a couple living common-law and the children, if any, of either and/or both partners
- a lone parent of any marital status with at least one child living in the same dwelling and that child or, those children

All members of a particular census family live in the same dwelling. A couple may be of the opposite or same sex. Children may be children by birth, marriage, common-law union or, adoption regardless of their age or marital status as long as they live in the dwelling and do not have their own married spouse, common-law partner or, child living in the dwelling.

Grandchildren living with their grandparent or, grandparents but, with no parents present also constitute a census family.

Implications for Society

The baby boom tidal wave has been, and will continue to be, a tremendously important factor in the shaping of our society, our culture, and our economy. For example, when the baby boomers were young, they strained the education system. In some areas, schools that were built to accommodate them now sit empty. As the boomers grew older, they married, had children, and bought houses, cars, appliances, and furnishings giving a boost to the manufacturing and housing industries.

In fact, the housing market reached unprecedented levels, both in terms of the number of sales and the price of houses, as a direct result of the boomers. However, most of the boomers have purchased their homes by now, and the housing market has declined considerably, particularly in terms of the large, executive homes that were so popular in the 1980s. Now the older boomers are having an impact on the cottage market, as they accumulate enough wealth to purchase recreational properties.

So, what does this mean for the future? The boomers will continue to shape our culture and our economy. In terms of retirement planning, time will transform this generation of borrowers and spenders into savers. Initially, the boomers as a group will accumulate significant amounts of wealth and will collectively form a large market for all forms of financial assets including guaranteed investment certificates (GICs) and mutual funds.

As they enter their retirement years, they will draw on this wealth to maintain their incomes. Demand for retirement housing, golfing, gardening, senior vacation packages, and so on, can be expected to increase. Demand for services that seniors may no longer be able to perform will also increase, including services, such as lawn mowing, snow shoveling, and household maintenance.

As they age, boomers will also make great demands of the medical system. Average per capita health care costs begin to increase substantially at about age 50, more than doubling by the time the average individual reaches age 65 and continuing to increase dramatically beyond that age. Thus, if the entire population is aging, it can be expected that health care costs will also rise, even without the development of costly new procedures or medications.

Lifecycles and Retirement Expectations

Retirement is a very personal and individual experience, and different people have different expectations.

Most people anticipate their retirement, envisioning golden years of relaxation and leisure. However, this may mean vastly different things to different people. To some, it might mean the chance to stay at home, spend time with the grandchildren, and increase their volunteer commitments. To others, it may provide the chance to pursue rewarding yet relatively inexpensive hobbies such as gardening, writing, or golf. To some, retirement means the chance to travel to exotic destinations, to take that trip around the world, or to purchase and enjoy a rural or cottage property—all choices that obviously have significant financial implications.

The need for financial security differs among people as well. Some people are quite comfortable relying solely on CPP and OAS benefits, perhaps along with their company pension. Others have significant capital investments but refuse to erode that capital by drawing a retirement income that is in excess of the investment income. Some people are adamant about the need to leave an estate to their children. Others believe that their financial obligations to their children end once the children reach adulthood and are quite happy to try and spend every penny before they die.

Some people are eager to leave the workforce as soon as they are financially able, perhaps encouraged by the Freedom 55 concept popularized by London Life. Others set the standard age 65 as their retirement objective. A few people dread retirement, unsure of what they are going to do once they no longer work. They may postpone retirement indefinitely, choose to work part-time, or even begin a new career. While there is certainly nothing wrong with working well past traditional retirement age, and in fact it can go a long way towards helping retirement income, an individual who expects to meet all of his or her living expenses by continuing to work as he or she ages may find him or herself in a financial dilemma if he or she subsequently becomes incapacitated by his or her advancing age.

Thus, no two individuals are likely to approach retirement planning in exactly the same way. Objectives, lifestyle expectations, and risk tolerance will all play a part in developing an individual's retirement plan.

Relationships

Welcome to the lesson Relationships.

At the end of this lesson, you will be able to do the following:

- Distinguish between Engagement skills and Hard Skills
- identify who your client is & understand the personal style of your client
- understanding personality cues
- understand specific engagement skills and their application
- helping your clients plan for a retirement well lived
- develop effective questioning and listening skills
- What are client engagement skills?

- Client engagement skills are all about connecting and communicating with your clients at the human level. This is the person to person connection that drives trust, confidence and belief. Engagement skills are arguably the most difficult but the most important skills to learn in becoming a trusted advisor and building a practise. Because human beings are endlessly complex, no one approach, or skill will work in all instances. Humans are not only complex, but, they can change their ideas, and motivations from meeting to meeting and even within the same conversation.

- Client engagement skills are about mastering a set of behaviours and relationship building skills that put your customers first and identifies you as a trusted business partner, not just as another supplier. It means consciously thinking about your client's experience at every touch point. Most people who have direct client contact are often too eager to tell clients about their products, services or solution. In taking this approach, they position themselves on the opposite side of the table; your clients sense it, understand it, know it, and reject it.

- According to a variety of online definitions, engagement skills are a combination of people skills, social skills, communication skills, character traits, attitudes, career attributes, social intelligence and emotional intelligence. These skills enable people to effectively navigate their environment, work well with others, perform well and achieve their goals with complementing hard skills. Whether or not we are aware of it, living in a civilized society, we all possess engagement skills albeit, to varying degrees.

- In large part, engagement skills are social skills that are intangible but nevertheless, integral in effectively dealing with family and friends, co-workers, existing and potential business partners and clients and even with complete strangers. Your ability and willingness to help others, to work in a team environment, to solve problems and to communicate effectively are just a few examples of the many different components that make up the skill set known as engagement skills.

- As a Registered Retirement Consultant (RRC/CR®), the importance of engagement skills in attracting and perhaps, more importantly, retaining clients is often understated particularly when compared to the more tangible requirements for *hard skills* such as product knowledge, educational proficiencies and technical skills. Without minimizing the importance of hard skills - clearly, you must be technically competent - the reality is that it is the engagement skills demonstrated by you that builds a trusting, enduring relationship with your clients. An RRC/CR® who has strong engagement skills will have the ability to look for clues in a client's body language, voice, word choice and demeanor so that appropriate questions can be asked, and a relationship built.

- By comparison, *hard skills* are usually related to professional knowledge, tools or techniques that allow us to work within our profession. Examples of hard skills are: designing a bridge, developing software, applying taxation laws, injecting a vaccine.

- Are Engagement Skills Important?
- Have you ever found yourself irritated by another person? Have you assessed them as being irritating, hardnosed, mushy or just not getting to the point? In short "difficult to get along with". Or, perhaps you have struggled to get your message across to another person. Maybe you have tried to communicate your message as clearly as you know how to, and they still aren't understanding you. Maybe you have had the experience of being in a meeting and people don't seem to want to listen to you. All of these scenarios are where engagement skills come in to play. Strong engagement skills build relationships and assist clear communication.
- Engagement skills can be described as the bedside manner of a doctor. Two doctors may have an equally high degree of education, proficiency and technical skills to treat a given ailment. These are *hard skills*. Beyond your doctor's competence, wouldn't you rather be treated by a doctor that demonstrates compassion, empathy, respect and attentive listening? Who can eliminate your anxiety and fear and restore calm and peace of mind by simplifying complicated medical concepts into layman's terms? As a patient, wouldn't you want your doctor to listen and directly address your concerns and to take the necessary steps to ensure you have a clear understanding of your circumstances and the implications of the proposed treatment?
- Both hard skills and engagement skills must be learned. For example, an RRC/CR® does not have an innate understanding of the details of a given investment product or tax concept, it must be learned. Engagement skills tend to be more intuitively based on societal norms and accepted social practises but also must be learned. We are all aware the engagement skills of some individuals are considerably better than the skills possessed by other individuals. The good news is that where we may be lacking, techniques can be learned to improve and expand on the basic engagement skills we possess.
- The most effective RRC/CR® is one who follows the retirement planning process using his or her fundamentally sound hard skills in conjunction with a highly developed suite of engagement skills.

Personal Style

Each person is a very special and unique individual. We have our habits, our culture, our education, our ethics and manners. And, we have a personal style, or personality or temperament. We bring our entire self to each interaction and environment we encounter each day. This includes work and the interactions with our clients. To be optimally effective and professional it is imperative that we understand how we act, react and interact with the world. What makes us tick? What are our hot buttons or frustrations? How do we prefer to communicate and listen?

One of the most notable contributions in history was in 460 BC by Hippocrates (often referred to as "the father of western medicine"). He observed that people in general seemed to have one of four humours, or approaches to life. This discernment of four groupings is a common theme that connects many of the most predominant personality theories.

Today there exist many different systems for categorizing personality traits into meaningful patterns. Many of these various systems use special vocabulary such as colours, letters, adjectives or other terms to describe the same thing - your personality temperament. If you have integrated any of these terms or descriptors into your language you are speaking a type of personality language. For this lesson we will use the specific language of Personality Lingo! (www.personalitylingo.com)

Whether you are brand new to personality training or intimately familiar with a favorite system - the power of knowing your personality is undeniable, and the power to identify easily the personality of others is invaluable. Personality affects everything we do - from how we take in and process information to personal preferences and life decisions. Modern scientific studies claim to have found proof that our temperament is coded into our DNA, giving even more validity to this time-tested theory. Furthermore, science indicates that personalities are neither race nor gender biased. We may have learned preferences for thought and behaviour, but these are external behaviours not innate personality traits.

If you have ever been in a conversation where people are discussing personality types, it can seem like a foreign language to those that don't understand the vocabulary of that identification system. You could all be talking about the same thing but using different terms to describe it.

Knowing ourselves is the beginning of being able to understand others and build effective relationships and solid communication.

Comparisons of Common Systems

Colour Systems

Hippocrates was perhaps the first to reference colour with his four humours. Over the years there have been numerous systems that have carried on with this approach and attached a colour label to a particular personality. The table below reviews a sampling of those systems and how they relate to Personality Lingo

Personality Lingo®	Connector	Thinker	Planner	Mover
Hippocrates	Phlegm	Yellow Bile	Black Bile	Red Blood

Don Lowry's True Colours	BLUE	GREEN	GOLD	ORANGE
Colour Lingo	BLUE	GREEN	GOLD	ORANGE
Personality Dimensions	BLUE	GREEN	GOLD	ORANGE
Insight Learning	BLUE	GREEN	GOLD	ORANGE
Four Lenses	BLUE	GREEN	GOLD	ORANGE
Four Windows	BLUE	GREEN	GOLD	ORANGE
Real Colours	BLUE	GREEN	GOLD	ORANGE
Spectrum Temperaments	BLUE	GREEN	GOLD	ORANGE
Personality Resources	BLUE	GREEN	GOLD	ORANGE
Colour Code	BLUE/WHITE	RED	Blue – N/A	YELLOW
Herrmann Brain	RED	BLUE	GREEN	YELLOW
Ritberger	ORANGE	GREEN	RED	YELLOW
Birkman	GREEN	BLUE	RED	YELLOW

Letter Descriptor Systems

The most popular letter systems for Temperament identification are the Myers-Briggs Type Indicator and the Keirsey systems. The chart below shows how Myers-Briggs ad Keirsey relate to Personality Lingo:

Personality Lingo®	Connector	Thinker	Planner	Mover
Myers – Briggs	ENFJ, INFJ ENFP, INFP	ENTJ, INTJ ENTP, INTP	ESTJ, ISTJ ESFJ, ISFJ	ESFP, ISFP ESTP, ISTP
Keirsey Temperament	NF	NT	SJ	SP

Comparisons of Common Systems...continued

Word Descriptor Systems

Dating back to the ancient Greeks, there is a long history of adding descriptive adjectives (or labels) to each of the four personality styles. The chart below shows how these systems relate to Personality Lingo:

Personality Lingo®	Connector	Thinker	Planner	Mover
Ancient Greeks	Fire	Water	Earth	Air
Galen	Phlegmatic	Choleric	Melancholic	Sanguine
Carl Jung	Intuition/Feeling	Intuition/Thinking	Sensing (/Judging*)	Sensing (/Perceiving*)
Seasons	Summer	Winter	Autumn	Spring
Keirsey	Idealist	Rational	Guardian	Artisan
Keirsey/Bates	Apollonian	Promethean	Epimethean	Dionysian
Diet Styles	Diet Feeler	Diet Thinker	Diet Planner	Diet Player

Inner Hero	Helper	Thinker	Planner	Doer
Helen Fisher	Estrogen/Oxytocin	Testosterone	Serotonin	Dopamine
Helen Scully	Facilitator	Innovator	Organizer	Liberator
Character Champions	Blue Dolphin	Green Owl	Gold Ant	Orange Wolf

*Carl Jung does not explicitly mention a judging or perceiving attitude. The "Judging" and "Perceiving" terms are listed here to make a clear distinction between the Planner and Mover temperaments as they relate to Carl Jung's classifications.

DISC

DISC	D Dominance	I Influence	S Steadiness	C Conscientiousness
Personality Lingo	Mover/Thinker	Connector/Mover	Planner/Connector	Thinker/Planner
COLOURS	Orange/Green	Blue/Orange	Gold/Blue	Green/Gold
Keirsey	SP/NT	NF/SP	SJ/NF	NT/SJ

ENNEAGRAM

1	2	3	4	5	6	7	8	9
Planner	Connector	Planner/Connector	Connector	Thinker	Thinker	Mover	Planner	Connector
SJ	NF	SJ/NF	NF	NT	NT	SP	SJ	NF

Who Are You?

So where do you fit? What is your personal style? This is important as who we are on the personality level greatly impacts everything we do. Engagement skills, communication, sales, leadership, learning, stress management, conflict resolution and more are all influenced by who we are. This is how we act, react and interact with the world around us.

Let's start with Introvert or Extrovert. Many people erroneously believe that introversion means you are shy whereas extroversion means you are not. Both Introverts and Extroverts can be shy. Shyness is the fear of social judgement and can be experienced by either introverts or extroverts.

A basic definition for Introverts is that they gather or restore their energy from their internal world of thoughts, ideas and reflections and Extroverts rejuvenate or gather their energy from the outside world of people activities and their environment.

People with a preference for Extroversion tend to express their most dominant personality traits outward. Determining the personality style of someone who is extroverted is usually quite straightforward – what you see, is what you get! Introverts on the other hand tend to use their primary personality style to process internally. They may communicate outwardly and behave in manners that are associated with their secondary style. Therefore, extra attention needs to be paid when identifying the personality style of Introverts.

Extroverts (E)	VS	Introverts (I)
• Social Interaction • External world of thoughts • Breadth • Extensive interests • Many relationships • Gregarious and social • After-thinkers • About 55% of the population		• Inner concentration • Inner world of feelings • Depth • Intensive interests • Few relationships • Reflective and thoughtful • Fore-thinkers • About 45% of the population

Importance of Personality Style

Our personalities are a very important and critical component of who we are, how we respond, how we communicate, how we relate and how we process information. This is foundational to learning and using excellent engagement skills to build both personal and professional relationships. As you will learn later in this unit, your personality greatly influences how and what you verbalize and hear.

You could be clearly communicating your message and be completely misunderstood! How? Easily – you speak your own language and use words based on your personality. You hear what other people say through your ears which filter messages through your own language based on your personality. Confusing? Not really it is just thinking of Personality -speaking as another language.

For example: You could say, "I would like you to come in for a portfolio review." Quite a clear message, wouldn't you agree? But here is what people not like you might hear you saying, "You are in trouble we have to talk about your portfolio right now and boy do I have bad news for you!" Where did that come from? That isn't what you said! No, but it is the message that was heard. This is one of the reasons that communication can be so difficult!

Where do we start? Ideally, we start with understanding ourselves. We start to understand how we act, react and interact with the world. How do we view the world? What makes our heart happy? What are our hot buttons? Understanding ourselves first is the foundation to being able to start to understand others. There are good resources both free and for purchase to explore and discern our personality. You can search on-line, connect with a local personality training expert or start with www.personalitylingo.com for a free, fun, personality quiz that can get you started.

Personality Overview

In many models there are 4 quadrants that describe type, preferences or behaviours. If you are familiar with another model, use the charts above to find your fit in our model. The following is a very brief overview using the Personality Lingo model of Mover, Thinker, Connector, and Planner.

Mover

Playful, high energy, easily bored, loves freedom and new ideas. Creative, great negotiators, always up for an adventure. Loves novelty and being on the leading edge, lives in the moment.

- Strengths: embrace change, think outside of the box, love a challenge, high energy, playful and fun, very gregarious. Visual communicator.
- Challenges: easily bored, short attention span, frustrated by status quo, don't always think before speaking.

Communication Tips

- If you are a Mover: don't interrupt, focus on the speaker, tone down the volume, limit wordiness and conversation

- Speaking to a Mover: Tell "people" stories, give colourful details, give attention, don’t tune out.

Thinker

Logical, analytical, naturally curious, love knowledge and learning, perpetual learner. Able to easy conceptualize, reserved, appreciate being given the time to think and process. Live in the future.

- Strengths: very knowledgeable, independent and able to work alone, reserved and proper, analytical and innovative. Frequently ask, "Why?"
- Challenges: may come across as a "know-it-all" or arrogant, fact based rather than emotionally sensitive, very demanding of themselves and others.

Communication Tips

- If you are a Thinker: practise saying "please" and "thank-you". Focus on the person not the project. Practise active listening, read to the end of the letter.
- Speaking to a Thinker: Use bullet points, not small details or stories. Give the bottom line first, give additional details only if asked, ask questions, expect the "why" statement.

Connector

Supportive, kind, positive, crave connection to others. Great imagination with love of the arts, a real people person, very collaborative and a natural mediator. Lead with their heart and easily identify and relate to the emotional state of others. Seek personal growth and meaning

- Strengths: open and accepting, love to communicate, very cooperative, natural mediators, caring and compassionate, creative and empathetic. Soft spoken.
- Challenges: extremely sensitive, lead with their heart, often supress their own needs and wants, tentative in communicating their needs.

Communication tips:

- If you are a Connector: express your opinion, share ideas, practise making and expressing choices, speak more quickly and boldly.
- Speaking to a Connector: show respect and look for the positive, freely give praise, give focused attention, wait to speak until they are completely finished, give a few choices.

Planner Conscientious and dependable, reliable, organized, makers of lists. Know and follow the rules, guidelines and legislation. Steadfast, goal driven, believe in right and wrong. Strong sense of duty and commitment to the job at hand.

- Strengths: organized, productive, prepared, value citizenship, community service. Follow directions, follow through on tasks, hard working, loyal and responsible.
- Challenges: need to have a plan and clear instructions or directions, resist imposed change, puts others on an agenda, not tolerant of casual time management or being surprised.

Communication tips:

- If you are a Planner: don't overwhelm others with details, give praise when due, celebrate incremental improvements, adjust your expectations, appreciate contributions of others.
- Speaking to a Planner: first ask if it is a good time to talk, respect their time/space/silence. Give factual and orderly details. Be prepared – think through what you will say. Wait for their response.

Our personality or personal style influences every aspect of life. One thought you may be having is "Yes, but I can relate to all of the above". Yes, that is true. We do have the ability to choose our behaviours depending on the relationship or circumstance. Most people have one or more commonly two personality styles that are their dominant style that they most often operate from. A suggested resource is the book "Personality Lingo" by Mary Miscisin M.S. available through Amazon or her web site. The book goes into much detail and includes information on identifying your style, communication, stress and being your best.

Identifying the Personal Style of Clients

Now that we can identify our own preferences, how do we quickly and easily identify the personal style of our clients?

We started by learning how to identify our personality, our strengths and challenges and some basic communication tips. How do we quickly and easily identify our client's personal style and how can we best relate to them? Can I not just be myself? Yes, you can. Use the strengths of your personality to build relationships and client lists while respecting the personality of others. Learn to speak their languages and you will be well on the way to enhanced engagement with your clients.

As humans we take our personality everywhere we go. Both you and your client will give reliable clues as to preferred personal style which are easy to read if you know what to look for. We want to look for visible clues – things we can see, vocal clues - that which we can hear, and some general environmental clues – observable elements. Is this three-fold method 100% accurate? No, but then neither is a self-test!

An easy three step process goes like this:

i. Observe visible, vocal and general clues … take a guess as to which Personality Style you think is being shown by your client,

ii. Ask them a question from the information below and listen to their answer

iii. If your initial assessment wasn't correct based on the answer you received, you can easily adjust your approach and ask another question.

It is OK to explore your perception before making a determination of the conversational approach you will take based on the preferred style. By learning what to observe it can give you a very good starting point, a reliable way to be respectful of the individual and their "way of being".

Here is some great news! No personality, style or preference is better or worse than any other! There is no good personality vs "bad" personality, we are different but equal. Also, there is no gender bias between personalities. There is no personality that is for women and one for men, there is a relatively even distribution of the genders between the personality styles. Celebrate – who we are - what we are - and we can choose to operate within our strengths!

The Mover

Basic desire is to be noticed and to have fun.

What you see

- Clothing: often bright and/or intense colours, trendy threads, beads and sparkles, colourful ties often with graphics, fun socks, novelty sweaters that tell a story.
- Activity: high energy, constant movement, big gestures and movements, often touches others – clap on the back, fist bump, tap on the shoulder. Can forget to respect the personal space of others.
- Focus: very impetuous, easily distracted "squirrel!", tends to what is right in front of them, irreverent humour!
- Emotions: highly charged and changeable. Emotions are not hidden, happy is elation, sad is devastating and responses are based on the current state of emotion. May have several changes from high to low in a short span of time.

What you hear

- Volume: usually quite loud and easily heard across the room. Often have a very loud and distinctive laugh. Even whispers carry quite far.

- Language: not afraid to make up their own words or use slang. May use edgy and just barely appropriate language, jokes, metaphors and fun terminology.
- General: love to tell stories to make a point or just entertain. Very visual and graphic with a wide eyed "who me?" innocence of expression. Speak very quickly with great excitement and can quickly change the subject as they can be easily distracted.

Environmental Clues

- Personal work space can be quite chaotic. May appear to be disorganized but they will know where everything is.
- Engage in high energy activities and possibly extreme sports. Love to challenge themselves and then tell a great story about their adventures.
- Always open to new ideas, adventures or products. Rely on the research and opinions of others.

The Thinker

Basic desire is to be in charge and have control

What you see

- Clothing: often wears the strong power colours – black, red, navy blue, royal blue. Power clothing such as jacket and slacks, logoed clothing, not usually seen wearing ultra casual such as baggy jogging pants and sweatshirts. Conservative jewellery.
- Activity: quick and active with purposeful movements. Each action has a reason. Able to be completely still, alert and watchful.
- Focus: very decisive and direct. Always alert and watchful, easily takes charge of a conversation or situation. Focussed eye contact.
- Emotions: not readily apparent. Operates from logic rather than emotion. Emotional layer is very deep and when they rise to the surface are expressed very strongly. Intolerant of sloppy work and mistakes and easily angered.

What you hear

- Volume: not necessarily loud but strong and direct. Will speak over others without raising their voice. Genuine laughter is of moderate volume.
- Language: use technical language and correct terminology. Knows how to spell and pronounce the big words and may use their vocabulary as a weapon rather than a tool. Enjoy utilizing a robust lexicon.

- General: Want to know what you know. Asks many questions and will listen appreciatively to the answer. May challenge your knowledge or assumptions, respects intellectual discourse.

Environmental Clues

- Personal workspace will likely have evidence of several projects on the go at once. Also, research books, models, prototypes or equipment. Love technology and the access to learning and knowledge that it represents.
- Enjoy doing difficult things. Love the challenge of hard work, technically precise activities and pushing themselves to the limit while controlling their environment.
- Naturally curious and thirsty for knowledge they enjoy solving problems and inventing better ways of doing things.
- Prefer to keep their emotions to themselves and are slow to trust.

The Connector

Basic desire is to have peace and no conflict

What you see

- Clothing: prefer comfortable and soft textured clothing. Soft knits, elastic waist, unstructured suits and sweaters. Soft colours, pastels, browns, blues, greens, earth tones.
- Activity: very relaxed and laid back, low energy. Peaceful and calm, even in chaos
- Focus: will focus exclusively on those they are in conversation with. Pay close attention to feelings, language and environment around them.
- Emotions: lead with their heart. Very peaceful and calm, seldom have extremes of emotion. Balanced and rational.

What you hear

- Volume: most often quiet spoken with much feeling in their tone and expressions.
- Language: use emotional words such as "I feel …" very descriptive language, use lots of adjectives
- General: usually good listeners with strong focus on your words and how you are saying them. Very emotionally intuitive, can easily pick up your current emotional state.

Environmental clues

- Have many friends and prefer to be in a group or working as a team. Would rather work with people than things or tools.

- Casual about their surroundings unless it comes to comfort items. Work area will have pictures of family and friends and some fun conversational objects. May have rocks or bottles of sand that have emotional meaning to them
- Wear their hearts on their sleeves and are ready to be glad or sad as the situation requires. Very openly emotional.
- Always put the needs of others ahead of themselves. Very cause oriented, people, animals, environment etc.

The Planner

Basic desire is to have perfection and organization

What you see

- Clothing: the correct clothing for each activity. Tucked in, buttoned up, correct and proper, not necessarily stuffy or stiff.
- Activity: very persistent and thorough, need to finish what they start. Likes to organize things and data – uses charts and graphs.
- Focus: prefer to focus on tasks rather than people. Very artistic and deeply sensitive. Can shut out the world to focus on a task.
- Emotions: very deeply emotional, quiet tears at a beautiful sunset or picture. Keep feelings to themselves but are the most emotionally sensitive. You just don't see it.

What you hear

- Volume: quiet-spoken, low tone, unemotional or intense. Very quiet laugh or chuckle. Do not draw attention to themselves.
- Language: Uses correct and precise language and terminology. Clear expectations and terminology, very articulate.
- General: a very clear communicator that may start a conversation in their head and begin orally half way through. Very organized thoughts and may speak in a "list".

Environmental clues

- Very tidy, everything in its place. Difficult to replace items when they are still useful. May have "hoarder" tendencies as it is hard to part with familiar objects.
- Works space will be very organized and likely minimalistic – one file or sheet of paper at a time on the desk. Cannot think or work in clutter
- Work very well alone without supervision. Prefer to be given the job, the expectations, and the deadline and then be left alone to work.

- Like to follow the rules and procedures, most comfortable in a formal environment where everyone knows and follows the rules.

Conversational Personality Clues

How can we begin to get a sense of our clients, colleagues, friends or family's personality without asking them to take an assessment or use a tool to evaluate them? What are some questions or conversation openers we can use to get off on the right foot?

The following are some ideas with the answers that may guide you in the right direction to determine which personality quadrant fits.

What is your idea of a great vacation?	Mover: White water rafting or other high energy activities – hiking, scuba diving, zip-lining Thinker: A scientific expedition or other learning experience – Galapagos, the pyramids, historic hike Connector: Romantic get-away, family trip, holiday with friends – cottage at the lake, cabin in the woods Planner: Traditional family vacation, preferably low cost – return to same place each year.
How would others describe you?	Mover: Quick to take action and eager to grab a problem and solve it Thinker: Curious, knowledgeable, a great problem solver Connector: Friendly, gets along well with others, lots of friends Planner: Prepared, likes to plan ahead, "boy-scout"

If you won the lottery, what is the first thing you would do with the money?	Mover: Throw a big party and rent a limo to go get the cheque with a bunch of friends Thinker: Create a new venture or business and invest in learning or education Connector: Share it with family and friends, give to charity Planner: Put it in the bank, consult with a lawyer, banker and planner and make a solid plan.
How do you make decisions?	Mover: Flip a coin! Impulse, what seems best at the moment with the information available Thinker: Logic and research. Explore all options and rate past successes and outcomes Connector: What feels right for the situation Planner: Past precedents and the correct procedures.
How do you relate to people?	Mover: I make friends easily, people seem to like me, I like to think that I collect people. Thinker: I usually like to be with people, things seem to go better if I am in charge.

	Connector: I like watching people and connecting. It gives me a good picture of what they are like Planner: I prefer to observe and go beneath the surface to see the real person.
Apart from the necessities of life, food, shelter, clothing, what do you spend your money on?	Mover: Going out with friends, adventure, having fun and looking good Thinker: I buy good quality, name brand items that are life enhancing tools Connector: Comfort items and convenience products Planner: I don't spend, I prefer to save every spare cent

Conversational Personality Clues...continued

If a disaster struck, how do you think you would react?	Mover: Look for the sunny side and move on Thinker: I would need to figure out what happened and why Connector: I would be very emotionally distraught and worried about other people Planner: I would use my emergency plan and make the best of it.
If you could be anything you wanted to be, what	Mover: An actor, artisan or entrepreneur Thinker: An inventor or explorer or researcher

would you do?	Connector: A spiritual guru, social convener, secret contributor Planner: Chief executive, philanthropist.
What words describe you the best?	Mover: Bold, adventurous, brave, fun Thinker: Competent, knowledgeable, hard working Connector: Compassionate, warm, caring, friendly Planner: Practical, dependable, responsible, frugal
What is your attitude toward managing money?	Mover: I have better things to do than keeping track of my money – that's your job! Thinker: I feel out of control and disorganized if I am not in total charge of my finances. Connector: Finances intimidate me, and I don't feel the need to check my balances every day. Planner: I have a spreadsheet detailing every bill I pay, and items purchased.
What process did you use when you bought your last car?	Mover: I bought what I liked and then thought about how to pay for it later Thinker: I researched and found a good compromise between what I wanted and what I could afford

	Connector: I ended up spending more than I planned to but I got the colour and features I wanted. Planner: I researched every detail and made sure it would fit my budget and driving needs.
(just for fun) If an extra-terrestrial appeared at your front door, what would you do?	Mover: Grab it, capture it and show it to my friends Thinker: Ask it where it was from and how it got to my front porch Connector: Try to befriend it and invite it in Planner: Close the door and call the authorities

The responses above are in general terms and most respondents will use their own words and thoughts. However, this is a good guide to help with your ongoing communication and professional relationship building. Personality comes into significance when talking about and planning financial matters, life issues and retirement considerations.

Communication

Communication is a gift to both the speaker and the receiver. Therefore, is stands to reason that being a solid communicator will stand a professional in very good stead. Let’s look at what good communication is and isn’t.

First, communication is not talking. You may have heard the age-old question, "If someone talks in the woods and no-one is there to hear them, are they communicating?" Talking, is just that, talking. Communication is the giving and taking of information, ideas, concepts or messages. Without a receiver, communication has not occurred. Without a message being sent in a way that the receiver can comprehend and respond to, communication has not happened well. How do we ensure that we communicate in the most effective way we can? The following ideas, techniques and instructions will assist with that.

As a Registered Retirement Consultant, you are communicating with clients, colleagues, other professionals and many other people. Some conversations are easy, some are more difficult but good communication skills will help you with all types of communication.

Communication consists of good speaking skills and solid listening skills, coupled with respecting and understanding how best to communicate with the person's individual style. In other words, communicating from your voice to their ears.

If you were to greet a Mover client with energy and excitement, asking about their latest adventure – you would open the communication doors. Ask about their goals for the future and then suggest some low maintenance easy to follow strategies with an element of "safe risk" and some fun … they will listen to you.

Greet a Thinker that way – and they will not respond to you. Instead, be well prepared and able to answer the questions or know where to find the answers in preparation of the meeting. Minimize the greeting and ask, "How may I best serve you today", listen and respond with a bullet point list and they will appreciate that you are respecting their needs for brevity and knowledge. A strategy where they feel in control of the process and investments may be most successful.

A Connector client needs to know that you care for them personally and are interested in them as a person. Greet them warmly, remembering details about their family or activities. Spend time setting the stage and building or renewing a relationship before asking how you may help them on this visit. Again, a low maintenance easy to follow strategy or plan may be most well received.

Planners are very reserved and do not easily share personal information. Explaining why the potentially intrusive questions need to be asked will be helpful. Be prepared with the information written down in detail so they may review it, take it away for review and plan another meeting to make decisions or ask more questions. Planning will take time and considerable sharing of information will be required for the relationship to be solidified.

Movers and Connectors are both people and relationship focussed. You will enjoy warm handshakes, open conversation and ease of relationship building with either. Conversely, both Thinkers and Planners are more interested in the task or information than connecting on the personal level. Both present a "calm, cool and collected" front and prefer a minimum of personal conversation, preferring to focus instead on the business of the meeting.

The first stage of developing good engagement skills is being able to easily identify which personal style your client is likely operating from and building a professional relationship that respects their needs and values. The second stage of enhancing engagement requires developing effective Communication Skills like: Attending, Soliciting, Reacting & Structuring.

Attending Skills

To attend means simply to give heed to, or to be present with. If you really pay attention to someone, you are indirectly telling them that they are important (i.e.: affirming their self-worth) Furthermore, you dramatically increase the chances of understanding both the stated and implicit messages in someone's communication. According to Dr. Kris Magnusson of Simon Fraser University, one of the most important determinants of how well you will be able to establish rapport with others is the degree to which they perceive you to be attending to them. Attending skills are primarily physical behaviours that let other people know that you are focussing on them. A well-recognised model for basic attending skills is the SOLAR model.

SOLAR model

Setting the stage is the starting point for a good meeting. Dr. Norm Amundsen, a respected long-term Faculty of Education member of the University of British Columbia, crafted the SOLAR model and described it in his text book "Active Engagement" as the starting point for developing a professional relationship. The stage is set very purposefully in how the meeting area is set up. Often an office will have a desk with you on one side and your client(s) on the other. This is the least optimal configuration. If possible a round table is much preferred or a set of chairs facing each other with casual tables at the side for coffee cup and writing tablet to indicate no barriers and a sense of equality of all participants.

The SOLAR model stands for Square position, Open posture, Leaning in, Asking open questions, and Reflecting back what you have believed you have heard. This is an easy to remember and apply – once learned – process that will allow you to maximize your time in the client meeting.

S - Square position

Squarely face your client, whether across a desk or table, or in facing chairs. This gives the opportunity for direct eye contact and the most room for expressive movement. It is easy to speak directly and to listen actively when sitting face to face.

O - Open posture

An open posture is where your hands and arms are relaxed and resting on the table, or desk or on the arms of chairs. Arms and legs are not crossed, the opposing elbows are not firmly clenched in your hands and your shoulders and neck are relaxed. For some people the habit of crossing their legs is firmly entrenched. If possible practise crossing legs at the ankles, not the knees as this can still present an "open" attitude to your client. Being physically open in your posture allows you to hear what is in the conversation, a closed posture – with crossed arms or legs indicates defensiveness. Be open, engaging and vulnerable to facilitate relationship building. Open shows listening, closed indicates decision is made, no longer listening.

L - Lean in to the conversation

Rather than leaning back into your chair lean in toward your client at a comfortable level. Leaning slightly towards your client conveys interest and focus. Think about a social environment you may have been in – you lean in when you are engaged, listening, or engrossed in what you are hearing. Leaning back gives the appearance of avoidance or superiority. Leaning in shows interest, engagement and openness to the ideas being expressed.

A - Ask open questions

Open questions do not have a predefined answer. They allow for the engagement and exploration of ideas and thoughts and provide a lot of information. A guideline would be questions that begin with how, what, where, why, or when. For example: "What are some of the elements you consider when making plans for your future?" An open question gives the respondent full breadth of thought and opinion in their response. As you listen you may hear information or ideas that will help you in your further exploring for suggestions, solutions or pathways. If in doubt, ask yourself "What would Dr. Phil say?" Likely he would say "And how is that working for you?" a very open question.

R - Reflect what you believe you have heard

Always double check to ensure that your perception of what you thought you have heard, is indeed what the person believes they have said. WHAT? Think about a mirror for words. In some ways we are a mirror to our client’s world. Remember that there are always 2 sides to a conversation. What the speaker believes they have said, and what the listener believes they have heard. There are two elements at work here, personality and perception. How we speak and how we perceive the message is influenced by our personality, in other words our perception of the message.

An individual may say, "I want to plan a party for our staff." Straight forward – right? Not necessarily. Are they saying that they want to do the work of invitations, setting the venue, menu and activities and cleaning up? Or, that they have the big picture idea but want to get a party plan team together to divide the work? Or, they are just floating the idea to see what the response is? Or, they would like to plan a party, but the timing is off, or there are other environmental considerations that could make it difficult?

Your client may say, "I plan on doing a lot of travelling". Straight forward, right? Wrong! What does travelling mean to them? Is it a transatlantic cruise or a car trip to visit relatives? Does it involve exploring new countries and cultures or exploring previously unexplored parts of their own province? What does travelling mean to them – and equally important, their spouse! Secondly what does "a lot" mean to them? Is it more than they are currently travelling? Is it half the year or more than 2 small trips a year? Have they thought about what "travelling a lot more" means in their life plan or are they just musing out loud and floating out some ideas? Reflecting what you think you have heard is critical to ensuring both communicators are following the same track or logic. Your response could be, "For a comparison, what kind of travelling are you doing now?"

Reflecting what you think you have heard is critical to ensuring both communicators are following the same track or logic. Your response could be," What ideas have you come up with so far?"

Soliciting Skills

Soliciting is the art of eliciting information. To solicit is to "obtain by persuasion, entreaty or formal application". We will explore 4 specific communication soliciting skills: closed-ended questions, open-ended questions, declarative probes and prompts.

Closed-ended Questions – or closed questions can be answered with Yes or No or a one or two-word answer.

Example: "Is it raining?" – *Yes.* "Are you cold?" - *No* "What is your name?" – *Tom Jones*. "Where do you live?" – *123 Somewhere Street*.

Forms are often completed using closed ended questions. Closed questions are useful for eliciting known information where the individual is not required to give additional information or speculate or describe information or situations. Closed questions are not bad questions, they have very specific uses.

Open-ended Questions – or open questions require a fuller, more informative and robust response. Open questions have sentences, lists and stories as answers and allow respondents to include more information, including feelings, attitudes and understanding of the subject. They often start with "How, why, what". Open questions lead to conversation and the sharing of thoughts, ideas and information.

Example: "What do you imagine your first day of retirement will be like?" – *I am going to get up early, make coffee, read the paper and wave to everyone going by on their way to work. Then I will take my dog for a walk. For lunch …*

As you can see, an open question elicits so much more.

Declarative Probes – are functionally like open-ended questions but are less interrogative. It is suggested that a declarative probe is a "polite command". Their use is to get more information, to have the respondent open up and tell more. A declarative probe is "Tell me more about that please.", "Elaborate a bit for me".

In conversation with a client they may say something like, "I am worried that I won't have any friends when I retire." – *Elaborate a bit for me please*. "Well, I have been working long hours and the only people I hang out with are the ones at work. If I stop going to work, I stop having friends." – *Tell me more about that please.* "When I get home from work I am tired and just want to eat, watch TV and go to bed. I don't have the time or energy to join a group or meet the neighbours… "

Use of a declarative probe brings out more and more detail and information giving a more complete picture of the concern, consideration or contemplation without making the person being asked feel like they are on the hot seat.

Prompts – are used to gently assist or encourage a hesitating speaker to say something or to continue with what they were saying. A prompt is used to move the conversation along. Prompts are short one or two-word phrases or non-verbal vocal noises. Hmmmm, What else? Go on, And then … ?

Example: "*My spouse thought I should come to see you*" - UmHmmmm" *Our brother in law is one of your clients and he seems to be quite happy with the results of his portfolio*" - Go on…"

Basic Reacting Skills

Reacting skills are what we use when it is our turn to speak, or to respond or to react to what we believe we have heard. It gives us the opportunity to ensure that we are on the same level of understanding as the person we are engaging with. Reacting skills cover three levels of understanding; auditory – what we believe we have heard; perceived intention, significance or substance – what it means to us and emotional – how the words make us feel or respond.

Reflecting verbal content

The most basic verbal mirroring technique, is also known as paraphrasing. In a reflection of verbal content, only the actual content of the spoken message is reflected back to the client – no inferences or interpretations are added. A level one reflection looks like this:

Client: Boy, I’ve been feeling really tired lately.

RRC/CR® – You’ve been really tired lately.

Notice how no new information was added and the client’s own words were used. Although it may seem pedantic or redundant, reflection of verbal content does serve a useful purpose. Some clients are nervous or under emotional stress. It helps them to hear what they are saying and determine if their description is an accurate one. This provides a relatively safe response to the client, helping to build trust.

A level two verbal reflection uses the same words as the client but changes the order:

Client: Boy, I’ve been feeling really tired lately.

RRC/CR®: Lately you’ve been really tired.

This forces the client to at least reconsider what has been said and determine if it makes sense. Again, no new information was added but through changing the order of the words the client gets a chance to reconsider what was said.

A level three verbal reflection closely resembles a paraphrase. When you paraphrase something, you are essentially translating the message into your own words:

Client: Boy, I've been feeling really tired lately.

RRC/CR®: You're feeling exhausted?

You are giving the exact same message back but using your own words. No new information has been added but because your word may not express the client intent exactly it should be offered tentatively. This gives your client the opportunity to correct your words and fill in with their own.

Reflective Meaning

Reflecting meaning is similar to a reflection of verbal content, with the added component of inference. Sometimes it is necessary to infer what the other person meant or seemed to say but didn't actually say it directly. You are intending to infer the meaning of the statement. These inferences which are common in "normal" conversations (where most people assume but do not verbalize their inferred meaning) need to be reflected back to the client to ensure that our interpretations of the implied meaning are the correct ones.

When we look for unstated meanings in client statements, we are leaving ourselves open for error. We might be making an assumption about what the client means that is totally wrong. That is why it is important to verbalize what you think your client means. Not only does a reflection of meaning ensure that you are on track, but it also gives the client time for reflection. By reflecting "This is what you seem to be saying" you give the client permission to correct any mistaken assumptions or interpretations. Again, it is important to be tentative. This can be accomplished by using a tentative lead in such as "It seems to me that …" or "Do you mean …?"

Client: I am worried about my job. I've missed the last two weeks because I have been very sick."

RRC/CR®: It seems you are worried that you are behind at work and will struggle to get caught up. Is that right?"

Some people like to preface a reflection of meaning with a reflection of verbal content. This ensures that the actual content was heard and provides a springboard for making an inference. Using this technique, the response to the above comment might look something like this:

RRC/CR®: So, illness has kept you away from work for two weeks and now you are feeling worried? (wait for nod or acknowledgement) Is that because you think you've gotten too far behind to catch up?"

Note there are other equally plausible inferences that could have been made. If the "wrong" inference is made, the client will quickly let you know. The point is, it is better to verbalize these assumptions so that the client can clarify or correct where necessary.

Reflecting Affect (Feeling)

Reflecting affect (feeling) is a reflection of the feelings behind a client statement. As with reflections of meaning, reflection of affect must be done tentatively. This is one of the most powerful tools that can be used. It helps to defuse negative emotions that may be getting in the way of a client's capacity to deal with problem situations. Acknowledgement of feelings such as anger, fear or frustration is often a first step in resolving a negative situation. Consider this:

Client: There is so much information coming at me from all sides that I just don't know what to do!

RRC/CR®: "Sounds like you are getting quite frustrated?"

Client: "You bet I am! I am just buried in brochures, and papers and web sites …"

RRC/CR®: "In addition to the frustration you sound overwhelmed and maybe a little desperate?"

Client: "Yes, you have nailed it!"

A number of alternative responses are possible – as you gain more practise with communication skills, you will begin to pick up on the verbal and non-verbal cues of the interaction and be able to identify the "correct" feeling more readily.

Effective Reflections

There are two major problems in learning how to do effective reflections: recognizing a meaning or emotion and identifying or labeling it. We often deal in shades of meaning, and the subtle differences in meaning between two words may be key. Here is a mini glossary that may be a useful tool:

Ideas for empathetic response leads:

- Kind of feeling …
- Sort of saying …
- I am picking up that you …
- If I am hearing you correctly …
- Kind of makes (made) you feel …
- What I guess I am hearing is …
- I wonder if you are expressing a concern that …

- You place a high value on …
- I read you as …
- Your message seems to be, "I …
- So, your world is a place where you …

Some affective vocabulary:

Words to convey affection: love, friendly, caring, like, fond of, respect, admire, trust, close, adore, devoted, regard, tenderness, attachment, yearning, longing, infatuated, passionate, cherish, idolize.	Words to convey happiness: glee, contented, joyous, ecstatic, glad, merry, lively, jovial, animate, elated, genial, buoyant, bright, saucy, jolly, playful, zest, thrilled, bliss, tickled, sensational, terrific, good, neat.	Words to convey strength: responsible, confident, alive, adequate, powerful, certain, sure, efficient, important, competent, effective, superior, cope, potent, able, lucid, adaptable, forceful, effectual,
Words to convey confusion: bewildered, puzzled, flustered, overwhelmed, mixed up, muddled, perplexed, tumult, chaos, jumbled, uncertain, undecided, ambivalent, drifting, baffled, trapped, in a quandary.	Words to convey hurt: used, put down, neglected, rejected, demeaned, scorned, criticized, belittled, shot down, cast off, discarded, devastated, ripped off humiliated, betrayed, exploited, embarrassed, maligned.	Words to convey unhappiness: low, sad, dejected, depressed, down, lost, blue, melancholy, brood, dreary, flat, joyless, somber, gloomy, dreadful, dismal, empty, grim, desolate, awful, terrible, disappointed.
Words to convey anger: rage, resentment, irritation, fury, annoyance, provoked, infuriate, inflamed, displeasure, animosity, wrath, indignation, exasperate, pique, huff, morose, seethe, offend, rile, outraged, mad.	Words to convey fear: timid, diffident, anxious, worried, apprehensive, doubt, qualm, hesitant, fright, terror, scared, nervous, restless, trepidation, intimidated, creeps, shivers, jumpy, worried, uneasy, unsure.	Words to convey guilt: blame, regret, shame, embarrassed, at fault, reprehensible, wrong, remorseful, crummy, rotten, humiliated, unforgivable, mortified, ashamed, disgraceful.

Structuring Skills

Without structure, conversations and client meetings can become meaningless drifting from topic to topic with little sense of direction, accomplishment or purpose. There is a need to manage interviews in a manner that allows clients full opportunity for expressions, and yet still provide a context for learning, growth and decisions. Structure provides meaning and maximized opportunity. In this section we will look at three structuring skills: Summaries, Overviews and Transitions.

Summaries

One of the most useful ways to organize the content of an interview is to make frequent use of summaries. Summaries condense the content of an interview – or portion thereof – into the key points or issues that were raised. Effective summaries have a number of useful functions:

- They help keep both parties in the conversation focussed on the issue at hand.
- They provide context for comparison, thereby helping your client to sort out what issues belong together, and which ones are unrelated.
- They provide ways of demonstrating that you are effectively tracking what is being said
- They provide a means of monitoring progress toward a conversational goal.
- They can be used as a source of feedback and encouragement for your client.

Summaries are used in a variety of situations. They may be used as part of the meeting opening with a repeat client ("Let’s just review what we did last time we met.") When used as part of an overview, a summary simply identifies the major themes that were previously discussed.

RRC/CR®: "As I recall, you were going to discuss with your spouse the options for pension splitting and TFSA contributions. You were going to get some information from your employers and banks and read over some of the literature that I shared with you. Have I got all of that right?"

Every interview or meeting should also close with a summary. Summarize the entire session including the main theme and activities. Sometimes a summary may not seem too different from some of the Reflecting skills previously discussed. There are however a couple of important distinctions. First, a summary never includes new content or information that your client has not yet had a chance to respond to. Summaries should not contain any new inferences of meaning, feeling or behaviour. Second, summaries contain more than one piece of information to respond to; reflections, on the other hand, only deal with one issue, thought or feeling at a time.

Overview Structuring Skills

Overviews, used at the beginning of a meeting or interview, give a general picture of where the session will be going. A good overview provides a framework for both the content and the process for the upcoming interaction. This ensures there are few surprises or hidden agendas, and both parties can concentrate on the discussion at hand. It is good practise to include an overview at the beginning of each client meeting. An overview should contain at least four major components.

i. A brief description of how you intend to approach the meeting, interview or issue

ii. Your clients and your expectations should be clarified. Here you explain what is expected from your client and in turn what your client can expect from you.

iii. Your client should be given some indication about how much time is likely to be needed and the general structure of how the meeting will proceed. This includes the length of each meeting and how many meetings will be needed.

iv. An agreement to proceed is reached based on the previously mentioned conditions and expectations.

RRC/CR®: "John, it is good to meet you. I know you have been working with my colleague on the financial aspects of your retirement plan, and now you are wanting to look at a plan for your time and activities, in short, your Retirement Life. The process will include some work together engaging both you and me, some work on your own, thinking about some specific elements, some conversations with your spouse and some research on your part. I commit to following through on everything I commit to do in our meetings, and in return need you to commit to following through on what you promise to do. We will likely meet 4 to 5 times for about an hour each time. Does this sound like a process that will work for you John, and that you can commit to?"

Client/John: "It sounds like it will be a lot of work, but I like the idea that we will be working on the other important half of my retirement plan. I really want to work on designing a retirement life that is meaningful, satisfying and fun for both my partner and me. Yes, I believe this is just what I am looking for."

Transition Structuring Skills

A transition is a powerful conversation and interview structuring tool. A transition is used to move from one area of focus to another; you may use a transition to make this shift of focus evident to your client. Transitions also serve three other major functions:

i. They help to keep the focus of the interview sharp

ii. They help prevent repetitive cycles

iii. Help to keep the interview moving forward.

A transition typically has two principle components: A statement of the previous area of discussion, followed by a statement of the next area for work. Transitions essentially tell your client, "This is where we've been, and this is where we are going next."

There are two cautions that need to be issued with respect to the use of transitions. First, you must ensure that the current area of discussion is fully covered before moving on to the next. Always ask one more question than you think necessary. A redundant answer will indicate that the area has been sufficiently covered. The second caution pertains to the way the transition is presented. To be effective, they must be smooth; a tie in from one area to the next is done in a natural rather than an abrupt way. The sequence of skills used immediately before and after a transition typically determine how "smooth" it was. The most effective routine is to reflect the last client content, check for accuracy, summarize the area being discussed, state the transition, and follow with an open question.

RRC/CR®: "We have been talking about the vision you have for your preferred retirement life. We have talked about your relationships, the location you see yourself in, activities you will do and some other lifestyle ideas. What else would you like to add?"

Client: "I think we have covered it all for today, I know I have some thinking to do but I can't think of anything else to add."

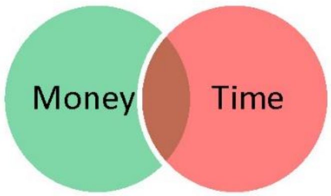
RRC/CR®: "Excellent, our next step will be to explore some of the supportive people in your life that can help you or encourage you in achieving your preferred retirement life. Who are some people who are closest to you that will support you in moving to your preferred future?"

Client: "Well, there is my son and daughter-in-law, they are in the process of taking over the business and should be ready by then. My friend Joe is great! He is always ready to chat or lend a hand, and then there is …"

Planning for a Client's Well-being

You may be asking yourself "What do I need to include in a FULL Retirement Plan for my clients?".

Which came first - the chicken or the egg? Or, in our context - which comes first the Financial Planning or the Life Planning? Does it matter where we start the planning process with our clients? The author of the best-selling book "What Color is Your Parachute for Retirement", John E Nelson says "Retirement planning and education programs provide tools and checklists for a successful financial transition. But financial security doesn't automatically create happiness in retirement. The universal dream is prosperity, health and happiness - otherwise known as well-being". He goes on to state that well-being includes the Financial component as well as considering Geography, Medical, Psychological, Social and Biological needs.



Have you ever wondered just how to open the conversation with your clients about their retirement plans? Is it too personal to ask? What if they are sad or angry? How do you deal with these messy emotions?

An initial suggestion - explore the Canadian Institute of Financial Planning (CIFP) Retirement Institute web site. (www.retirementinstitute.ca) This is an excellent starting point and has great information and practical resources for you. It hosts the "Six Step Retirement Planning Process" – an excellent guide. [It can be found under the "What an RRC® /CR® Holder Can Do for You" tab: https://www.retirementinstitute.ca/WebPage.aspx?ID=350&SID=2

In Step 4: Identify Appropriate Strategies and Present Retirement Plan it states "Recommended strategies should also consider qualitative lifestyle considerations. For example, retirees should be made aware of how changes in a person's personal situation can have an impact on their lifestyle when they stop working, such as, someone who retires from a physically active job should consider thinking of ways to remain active to avoid health issues. The RRC/CR may encourage and assist the client to prepare for the emotional transition the client may experience.

Part of the RRC/CR® role is to build bridges and links to Financial Applications of Life Planning components. What are the financial implications, adaptations, options to be considered to customize the Financial Plan to the client's vision of their Retirement Life.

A rule of thumb is to plan for 70% of income at age 65, is just a rule of thumb. The challenge is to get the 2 numbers (how much do I need and for what) in a personal way for clients. A client is much more likely to act when both Lifestyle and Finances are clear. This moves from a Transactional relationship to a Relational relationship and enhances the level of engagement as the two levels of planning merge into one.

It is also important to include spouses and or partners and possibly other family members, which can add a level of complexity. A plan would start with the individual, then include the spouse or partner and then possibly the family. This means there may be elements that require outside professionals in your planning and consideration such as lawyers, bankers, insurance specialists, psychologists, mediators etc.

When your client asks you "How much do I need to save for retirement?" the conversation opener should be "Great question! Let's start by thinking about and talking about some of the activities, needs and preferences you have for this next phase of your life. We need to talk about both time and money in order to answer that question."

Creating A Retirement Life Vision

We will be exploring some specific tools that can assist in the planning process and conversations with clients. It is purposefully written in most sections as if the client is being engaged in the conversation, rather than as instructions for you as the RRC/CR®. However, there are still some suggestions and instructions for good practise directed specifically to you, too.

Learning Objectives

- Specific Tools for exploring the future
- Developing a client Retirement Life Plan
- Learn specific life plan tools
- Learning to help clients develop a vision for their future
- Learn to help clients develop achievable goals and plans
- Retirement Life Planning Conversations and Personality Cues
- Once you have assisted your client to think about and create their Retirement Life Vision, then you are both ready to move on to more in-depth Retirement Life Planning. This Unit covers other significant components/elements that may be needed by your clients depending on the stage and age.
- Again, this is purposefully written in most cases as if your client is being engaged in the conversation, rather than as instructions for you as the RRC/CR®. However, there are still some suggestions and instructions for good practise directed specifically to you, too.
- In the previous Unit you were introduced to the Personality Types as described by Mary Micisin in her work both on-line and in the book Personality Lingo. You will find in each section prompts for using the information or expected responses from the Mover, Thinker, Planner, and Connector. Understanding client personalities and how they view the world and respond to information will allow your client and you to customize and support retirement life planning that is well suited to their personal and financial needs.
- Values
- Our values are the things that we believe are important in the way we live our life and interact with the world around us. They determine our priorities and deep down are the guide we use to measure if our life is turning out the way we hoped it would. Values are our principles and/or standards of behaviour. Our moral code, our code of behaviour or our personal code of ethics. We all have values and these values can change over time as

we enter and exit various phases of life. Our values influence our behaviours and our behaviours can change as we enter and exit various phases of our life.

- It is very common for ones' personal values to be quite different as we move toward planning our retirement life. Retirement is different from raising children, being in school or engaging in the competitive work place. An exercise for your client to consider is the following:
- Gather 3 colored markers or pens – a green, yellow and red. Review the words or phrases in the table below. With the Greenmarker, indicate the values that youOFTEN or ALWAYSvalue. With the Redmarker indicate the values that youSELDOM or NEVERvalue. With the Yellowmarker indicate the values that youSOMETIMES value. The challenge is to get the list of ALWAYS or OFTEN value words or statements down to a list of 10 values. This list of 10 values will likely be reflective of your core values going ahead into your retirement life. The core is who you are now, on the inside. This sets the stage for all other life plan elements.

Diversity	Environment	Supervision	Spirituality	Help Society	Community
Public Contact	Profit, Gain	Change and Variety	Work Alone	Excitement	Precision Work
Power and Authority	Location	High Earnings Anticipated	Physical Challenge	Knowledge	Fast Pace
Competition	Time Freedom	Affiliation	Recognition	Work With Others	Work on the Frontiers of Knowledge
Practicality	Advancement	Fun and Humour	Exercise Competence	Creativity	Adventure
Friendship	Stability	Security	Work-Life Balance	Job Tranquility	Moral Fulfillment
Creative Expression	Honesty and Integrity	Family	Intellectual Status	Work Under Pressure	Challenging Problems

Steep Learning Curve	Help Others	Personal Safety	Tradition	Group & Team	Structure and Predictability
Aesthetics	Artistic Creativity	Status	Make Decisions	Independence	Influence People

Psychological Strength

Discovering one's Psychological Strengths can seem a little like personality strengths. The key difference is that part of a personality is inherited whereas psychological strengths are primarily our choice. These strengths are often aligned with happiness, vitality and joy. What is true happiness and why do we seek it?

According to Psychology Today, happiness is: More than simply positive mood, happiness is a state of well-being that encompasses living a good life—that is, with a sense of meaning and deep satisfaction. It is not an offshoot of joy but rather a result of time, discomfort and our way of expressing and thinking about our feelings.

How can we choose to be happy? It has been said that the only thing in our lives we do have control over is our attitude. We can choose how we respond to life events. Imagine you are out for a lovely Sunday drive. It's sunny, the weather is great, and some super tunes are playing. In your exuberance you exceed the posted speed-limit and suddenly you notice the flashing red and blue lights in your rear-view mirror. Time for you to make a choice of which emotion you are going to experience. Do you choose anger? "Darn it! I got caught. It's not fair, other people are speeding, and they didn't get caught. Don't the police have better things to do than hassle me on a Sunday afternoon? This is going to completely ruin my day … grumble, grumble, grumble."

Or, do you choose another emotion? Balance – "Oops, looks like I got caught. I don't really want the ticket, but I am glad that the officers are out here keeping the roads safe. Guess I better slow down and enjoy the scenery!" The key message is, the choice of response is yours. We can choose our responses – other people cannot drive our responses—that comes from within. Do you get angry when someone cuts you off in traffic? Or, do you give a friendly wave (with all the fingers) and graciously let them in front of you? Your choice. We share the planet with several billion other people, so we don't always have things go the way we would prefer. Do you choose anger? Or do you choose to accommodate the differences and take a balanced response.

Vitality: the word vitality is derived from the Latin word vita which means life. Vitality is your life force and your ability to live or exist. Your vitality is influenced by your nutritional choices, your health, your social engagement and attitude toward your current life stage. To a large extent an individual can influence their personal vitality. We hear the messages on Social Media, traditional media and from our doctors – diet and exercise can make a difference. Nutritional choices, limit sweets and alcohol, eat more plants, get moving, sitting is the new smoking – all these messages and more are flooding our senses and encouraging us to retain or regain our vitality. Watch what you eat, keep moving and stay socially engaged to stay vital as we age.

Joy: This is the emotional culmination of happiness and vitality. If you research the synonyms for joy you will find words like delight, ecstasy, rapture, bliss … all descriptors of the indefinable emotional something that we strive for and recognise when we experience it.

Strengths are always positive. Most people do know their strengths although they may be so comfortable, they have forgotten them.

Invite your clients to check to see what attitude they are bringing to their life choices. Were they perhaps raised in a negative environment? Is this what they expect of life? Encourage them to practise being positive and looking on the bright side of life. If they were raised in a positive environment … celebrate it and pass on the positivity.

How does this translate to individual personalities?

Mover: Their basic desire is to be in motion and to have fun! You may hear them saying "Are we having fun yet?" They desire to be engaged, social and active which are the elements that support their psychological strengths.

Thinker: Their basic need is to be in control – primarily of themselves and secondarily their environment. Being able to make decisions for themselves about all life elements is very important. When health or safety concerns force them into a different environment, it can be a success if they are allowed input into the choices of environment. They do not necessarily need to be in control of everything for psychological well-being, but certainly some elements need to be under their care and control.

Planner: Their basic need is to have everything perfect with minimal or no changes. They need peace and perfection and an environment that allows them to plan. They have a strong need for order which only becomes a stronger need with aging. Moving from one home to another can be very traumatic, but this can be made easier to manage with lots of pre-planning that they are involved with. It is often said that psychological well-being is more difficult for this group as life seldom is perfect and orderly.

Connector: Their basic need is to have peace and harmony and relationships. They need to be around people and have good friends and family as part of their life. Caring relationships, no family drama and a quiet and peaceful environment are the keys to their psychological well-being. Any environment will work so long as it is peaceful and has access to people, including friends and family.

Physical Vitality

The following are some suggestions of questions to ask your clients:

- What is your current state of health?
- Have you been generally healthy or, have some aches and pains and medical conditions crept up on you?
- It is said that sitting is the new smoking. Have you spent your career at a desk?
- How are your knees? Hips? Back?
- What state of health are you taking into your next life phase?

Even if an individual has been sedentary most of their life, it is never too late to start moving! The field of Functional Nutrition has been creating and sharing a record amount of nutritional and life style information to assist people to eat and move toward maintaining or increasing health and physical vitality. Many of us have seen the YouTube videos or pictures on the internet of very senior people demonstrating amazing feats of strength and endurance. An 80-year-old body builder, a 100-year-old skydiver, climbing mountains and finishing high level hikes and walking programs in their 70's, 80's and beyond. Hats off to these remarkable individuals! Most people do not have the desire, the discipline or the drive to reach these milestones. They just want to feel good, have minimal aches and pains, be healthy and able to be active. Lifestyle and dietary choices certainly do contribute to physical vitality or lack thereof. Humans were meant to move, so move. Our nutritional choices are very broad now, it is tempting to "treat "ourselves too often, but that can lead to health challenges.

- What is the general state of health in your family?
- Do you have a parent or grandparent that had heart issues?
- Was it due to lifestyle choices or possibly an inherited condition?

There are most definitely health trends and inherited conditions that can greatly affect physical health and vitality. For example, an inherited condition like Huntington's Disease, although there is great research and wonderful emerging therapies coming on stream, is not currently managed through lifestyle choices.

- Are there medical issues that are common in your family?
- Is there a tendency to Type 2 Diabetes?
- What about high blood pressure? Obesity?

Suggest your clients have a conversation with their medical professionals to see if there are lifestyle choices that can be made that will improve these conditions. Frequently a regime of walking or movement and moderation or dietary changes will be suggested.

Physical vitality is largely within the control of each individual and their lifestyle choices, with inherited conditions being the exception. Physical vitality is important as many other life satisfactions are driven by this element. A pain filled life, or chronic exhaustion, or other manageable conditions makes it hard to be happy, to be engaged, to have fun, to travel, to be part of life.

How does this translate to individual personalities?

Mover: These people have been high energy often very physically involved throughout their lives. It isn't a surprise that they may have old injuries to knees, hips, hands, tendons, ligaments etc. that make them need to slow down. This can cause frustration that is only alleviated by finding a new, body friendly activity. Physical vitality is important to them and they work towards it in a fun and adventuresome way. They love variety in their diet, enjoy diverse foods and readily follow food trends, happily moving on to each new one as it emerges. You may hear them say that they don't have time to go to a doctor!

Thinker: These people have always taken a very rational approach to life and challenges. They have a voracious appetite for information and listen respectfully and then go and do their own research. They like to master things and often prefer to do difficult activities. They like to master the mountain, conquer the difficult hike, explore and learn about uncharted territories. This group is most often strongly self-governing in diet and lifestyle choices. They will research and incorporate what they believe to be the best activity and diet preferences into their life.

Planner: This group likes to follow rules and detailed protocols that have been created by others. Most often they are most comfortable with traditional medical approaches and value the relationship with their long time medical practitioners. They are often very knowledgeable and thorough with any health concerns or family medical concerns and act on symptoms quickly.

Connector: These folks cherish relationships with medical professionals both traditional and alternative. Many report that they enjoy massage therapy and visualization relaxation, yoga and other low key health practises. Because Connectors tend to be the most low-key individuals they need to be encouraged to move through walks and other activities. They especially enjoy group activities and love the idea of going on a health retreat. They are wonderful caretakers of others but can be neglectful of themselves.

Medical Philosophy

Here are some prompts for your client conversations to help them to determine their medical philosophy, or, what they believe about medical care for themselves.

What are your beliefs regarding how to maintain good health, manage health challenges and treat medical issues you may face either now or in the future? The web sitehttp://www.md-health.com/types-of-doctors.htmllists 53 main types of doctors and specialty areas.

Are you needing a specialist either now or possibly in the future? In addition to our standard Western medical care there are many therapies, modalities, methods and beliefs some people choose. For example, in addition to visiting your family doctor choices of care can include:

Homeopathy, Naturopathy, Ayurveda, Traditional Chinese Medicine, Acupuncture, Dietary Therapy, Chiropractic, Massage, Meditation, Yoga and others.

Regardless of how you wish to maintain your health, there are some considerations.

First, do you live in an area where your choice of medical care can be accessed easily? As one ages, the necessity of travelling for several hours to attend appointments becomes less attractive and often more difficult.

Second, if your choice is reasonably accessible, do you have a good relationship with your practitioner? Are they someone you are comfortable receiving care from, and perhaps … are they unlikely to retire before your need for their services ends? Will your medical choices require financial considerations?

What about long-term care or critical care planning? The planning requires location, provider, medical and financial planning.

Aging does change our bodies and therefore can change our medical needs. It is important to consider both current and future medical needs.

Nearly all doctors and alternative health practitioners agree that diet and exercise are the foundation to achieving and maintaining good health at any age. Regardless of your medical beliefs, eating well and in moderation, moving and staying as active as possible will be areas you can control to contribute to your health.

Mover: It isn’t unusual to find Movers exploring a variety of emerging or new health trends and ideas. The latest diet, alternative therapies and what is trendy. They easily move on from one to another. They have no hesitation in combining traditional and alternative practices and would readily travel to find the care they are needing or wanting, rather than moving to a location where it is more easily accessible.

Planner: Taking a very thoughtful and well researched approach to their care for the future, a Planner will frequently give very serious consideration to the aspect of access to their care of choice. Naturally frugal and thrifty their preferred treatment will most often be covered by insurance so there is little to no out of pocket expense. It is not unusual to find them somewhat sceptical of holistic or alternative treatment protocols and prefer to use the "tried and true" conventional medical approaches.

Thinker: A Thinker is a researcher. They want to explore and study all the medical avenues open to them. They will take all their research findings (including "Dr. Google") with them to their doctor appointment and want to know the doctor’s opinions and thoughts. They will give a reasoned consideration of exploring alternative ways of being healthy and prefer to as much as possible be in control of their health and wellbeing. They will choose to manage their diet and exercise to maintain or improve their health and vitality.

Connector: The relationship with their doctor and other health care supporter is of paramount consideration to a Connector. Once a relationship is established they find it difficult to change or move to another provider or clinic. Of all the personality styles a Connector is most likely to be sedentary and require support to be active and to eat well. Relationships are paramount in every aspect of life planning for this group as they conserve their energies for important events.

Geographical Location

Client conversation starters for you to discuss geographical location with your client.

Where on earth do you want to live in your next life phase? Are you planning on continuing to live in your current community? Maybe move back to the area where you grew up or move to be closer to children, grandchildren or other family members. Are you looking to move to another country? To a kinder climate? Be a "Snow-bird"?

Beyond geography, what type of housing would you prefer? Family home? Condo? Over 55 self-contained community neighbourhood? Can you age in place?

There are many examples of people who stayed in the same place as they aged, long after they should have moved. There are as many examples of people who couldn't wait to relocate in retirement, moved and were disappointed. What are some of the considerations people ought to be exploring?

Geography and finances are closely linked. Beyond just the price of a home, condo, apartment or residence one must consider the overall cost of living. Transportation, food, utilities, entertainment and taxes are some of the cost considerations. Is a small town versus a city more financially and geographically attractive? Does the proposed location have all the services one expects to need in the future, including accessible medical services?

Geography can affect your health and wellbeing also. For example, we need social relationships. Does the location give the ability to maintain existing relationships? Or, to build and establish new relationships? Is it close to or accessible to family or extended family? Another element to explore is healthy living habits. Can you be physically active? Can you engage in your hobbies or interests?

It is fine to fall in love with an area, a region or a country but the geography must be measured against finances, happiness and healthy living.

John E. Nelson in his book "What Color is Your Parachute – For Retirement" describes what he calls "your essential region". This is a region that is not just nice to visit but one where you could happily live out your days. The region would contain elements that you would consider essential to a happy life. For example: your favorite sports team, a good airport, a big outlet mall, access to golf or the arts. He suggests 7 questions to ask yourself:

i. Does the region support social interaction with your most important relationships?

ii. Does the region allow you to use your skills or strengths?
iii. Does the region allow you to pursue your interests or passions?
iv. Does the region or climate support your health needs?
v. Does the region allow you to make ends meet financially?
vi. Does the region connect to your deepest values? (traditions, culture, religion, family)
vii. Does the region support your chosen way to live in all aspects?

It is important to remember that needs change over time and what works in the early phases of retirement may not work as well in later stages when more help and support may be required.

How does this translate to individual personalities?

Mover: Is looking for the adventure of new surroundings, new people and new experiences. Does not always make the best geographical decisions for long term locations.

Planner: Finds it very hard to relocate even if it is the best solution for health, safety and well-being. Can easily be overwhelmed by the information surrounding the geographical decision.

Thinker: Will look at both the near and long-term viability of the geographical decision. If it makes sense personally and financially to relocate will readily do so.

Connector: First asks about the people that are important to them. Will they be in close or closer proximity to family and friends? They fear being socially isolated and will readily move to be closer to family and friends.

Social Engagement

Decades of research at the University of Berkley California, suggest that the quality of our social ties might be the single biggest predictor of our well-being. If we cultivate healthy social engagement, the research promises a longer, happier, and more prosperous life.

Social connections are sometimes called "social capital" for good reason: they are a valuable resource in life, creating moments of positivity and fun, supporting us through good times and bad, and exposing us to new ideas and new people.

"Resonant relationships are like emotional vitamins, sustaining us through tough times and nourishing us daily," writes Daniel Goleman in Social Intelligence: The New Science of Human Relationships.

Here are some of the research-backed benefits of social connection:

- Happiness: People who are very happy tend to be highly social and have strong relationships.

- Health: Strong social ties keep our memory sharp and may even protect us from catching colds.
- Be Positive: Social interactions feel good. People report that the everyday activities involving the most positive emotions are sex and socializing.
- Long Life: There's some evidence that having more supportive friendships and more cohesive family and community relationships could reduce the risk of fatal heart attacks.

Not everyone moves through life with a wide range of friends and acquaintances or strong family ties. The good news is that it is seldom too late to work on developing a strong community of friends. One can join a community group, join a group that shares their hobby or interests, join a book club or travel group or bridge club, join an activity group or a faith organization. There really is a group for everyone! If your client can't find one, maybe encourage them to start one and get engaged with people who share their interests, and beliefs.

How does this translate to individual personalities?

Mover: Easily join groups but are also comfortable in moving on to their interest area. Often, they are most drawn to activities like travel, walking, yoga, exercise, dinner and cooking. They look for ways to engage in several of their interests at once, for example a walking tour of Tuscany with cooking lessons and evening social opportunities.

Thinker: Are not naturally joiners or group people. Often, they will find one or two individuals who share their cognitive interests and abilities. They are naturally attracted to opportunities to learn, explore and debate with intellectually competent peers. They may enjoy opportunities to listen to lectures in small groups where they can engage with the presenter to ask questions and debate the topic.

Planner: Do not enjoy most group opportunities as they don't care for the degree of disorganization many groups experience. Like the thinkers, they are most attracted to small group experiences. They like quiet but intense hobbies such as coin collecting, entomology etc. where they can delve very deeply into a subject and immerse themselves for hours in a collection or topic either on their own or occasionally with a select few of equally minded people.

Connector: Love to be with other people. The more the merrier and prefer working toward helping others. Knitting groups, toy making groups, sewing circles and restoring appliances or autos for others are examples of their favorite type of group activity. What is important is the opportunity to interact with others and to work or contribute toward the common good. And if there is family involved, so much the better!

Leaving a Legacy

A conversation with your client about leaving a Legacy is a three-part conversation. Elements that you should cover include professional, personal and a reminder to care for their digital legacy as well.

Professional legacy - Many people do not take the time to stop and think about the legacy or footprint they wish to leave at their workplace. For years they have invested 2000 hours or more in building a career or business, what memories will they leave behind with their former workmates or employees?

Mentorship is an excellent way of investing in the next generation and/or passing along the years of knowledge as well as the organization's historical memory. If it isn't somehow recorded or left behind it is lost. As Terry Pratchett states, "If you do not know where you come from, then you don't know where you are, and if you don't know where you are, then you don't know where you're going." Encourage people to write down the practises, their procedures, their processes, or just the right way to hold your tongue so the gadget will work!

Personal legacy – Some families have treasures, mementos or trinkets that are special because they are reminders of previous generations. Some have great financial worth, others only emotional value, but whichever is the case a plan should be in place to ensure they arrive in the right hands or destination. The plan should be written, or video recorded, the receiver should be notified, and the item should be clearly labeled (in an inconspicuous place of course) It is sad to see strife in families dealing with estate items and have a falling out over "stuff" when a clear plan could have prevented it. There are those who encourage giving the items away prior to disability or death to experience the new owner's pleasure in the item. An excellent resource can be the articles at www.nextavenue.org

Digital Legacy It is good to remind your client to ensure that they have taken the legal steps necessary to ensure that their on-line presence can be appropriately dealt with, ended or closed. This includes accounts like Facebook, Twitter, LinkedIn, Instagram, on-line game sites and digital banking. Have you ever had a post pop-up from a friend that has passed away? It is very sad when that happens, doubly so because it is preventable by ensuring that the legality of closing accounts had been planned for and that an individual has been specified as the person who will close the accounts.

How does this translate to individual personalities?

Mover: Movers find it difficult to write down their procedures and pass them along. Often they take innovative and creative ways of working or problem solving. They work best doing personal mentoring or taking someone under their wing to show them how it is done. They appreciate family treasures and know the stories or adventures the item represents. They are a great candidate for a video as they display the item and tell the story around it.

Thinker: Are good at writing down their procedures and also have a formal mentorship plan to pass along their knowledge. The formal aspect is important as they want to know that the mentee is "getting it". Family treasures and artifacts are important if they have historical or financial significance. There is much less interest in frivolous or "bric-a-brac" items.

Planner: This group is seldom the initiator of processes but are exceptional at following protocols and rules. They excel at passing along the correct way to do everything and enjoy having a like-minded mentee to teach. Family treasures are very important to them. The longer the artifact has been in the family the more important it is to a Planner. As their descriptor implies, they like to carefully plan to leave a legacy and to leave treasures to the right people.

They will write it down, label it and do their best to ensure everything goes to the correct new owner.

Connector: This group finds it difficult to leave their work friends behind and are often found to be the ones who organise lunches or get togethers with former colleagues. They readily share with others what they do and how they do it. Family treasures and memories are very important. The photos, scrapbooks and mementoes are labeled and named as to their destination. It isn't unusual for this group to give the item to the designated person in person. They love to see the joy and share the memories with the recipient.

Giving Back

There are many local, regional and international opportunities to volunteer and give back through time and talent.

A quick Google or Yellow Pages search will identify some great opportunities. Many communities have a Volunteer coordination organization or department in the city administration that can provide local volunteer information.

Some things to invite your client to consider are their interests, their skills, the time they have available to commit, their community network and others. Ask them - Do you like animals? To work with your hands? To serve others? To sew? Do you like books and reading? Teaching? There is a community volunteer opportunity for everyone.

Both short and long term international volunteering opportunities abound. A resource for starting the search could be http://volunteerinternational.org/ or seek out personal areas of interest through a faith group, community organization (such as Rotary International or Habitat for Humanity). The website http://volunteerabroad.org also lists opportunities around the globe. The searching itself can be fascinating!

How does this translate to individual personalities?

Mover: Looks for adventure opportunities or places where they can interact in a fun environment. The challenge of travel and volunteerism is attractive providing their health allows for it. Joining a senior's demonstration dance group or working on home builds is often attractive to them. With their diverse interests there are many opportunities to volunteer.

Thinker: The Thinkers enjoy researching opportunities through resources such as the Canadian government site for country or international opportunities. http://international.gc.ca/world-monde/issues_development-enjeux_developpement/involved-participer/index.aspx?lang=eng and through the Volunteer Cooperation program. Some of the program areas are CESO – Canadian Executive Service Organization, Crossroads International, CUSO International, Engineers Without Borders (and most other professions without borders) and many others.

Planner: Similar to the Thinker group, Planners like to work with organizations that have a success record and are organized to work with specific projects or countries. (see references above) They believe strongly in giving back through time and resources to their community and organizations. Although they are not natural group joiners they willingly volunteer when asked or encouraged by a friend or family member.

Connector: Members of this group are the natural volunteers and love to be able to help, to serve and to make a difference. They readily support projects and are good at finding areas of need or service gaps and finding ways of helping. They eagerly respond to calls for assistance near and far and are wonderful at gathering their friends to help them out.

Learning and Brain Engagement

Elderhostel was a non-profit organization that was founded in 1975 with the mission of providing lifelong learning for North Americans in the fifty plus age group through travel. Now rebranded as Roads Scholar (www.roadscholar.org) they have been providing travel and learning opportunities to thousands of engaged explorers from ages 50 – 95, with travel to every continent and access to experts, experiences and small group travel. Topics are extremely varied and can be sorted by date, location, activity level, duration, interest (science and nature, art history and museums, walking and hiking, Jewish studies, train trips, small ships and more) and group make-up (i.e.: singles, Grandparents) Part of this planning does requirefinancial consideration.

Perhaps learning and travel together are not what an individual is seeking. Many Universities have free tuition for learners over age 65, a great way to explore topics and learn new things. Community Colleges often offer evening programs for topical learning and of course the on-line learning world is virtually unlimited. From topical learning to achieving a degree from the comfort of home, the World Wide Web has introduced learning opportunities on an unprecedented scale. Some of the many resources available include: www.udemy.com , www.lynda.com , LinkedIn Learning, and of course – the "University of YouTube" and Google!

Research from many sources and disciplines are showing that one of the preferred ways to stop or slow cognitive decline is to keep the brain engaged. There are many ways to stay or start being cognitively engaged and learning something new is a preferred way for many.

Engaging in crossword puzzles, Sudoku puzzles and word searches are also great ways to keep your brain fit. Once again, technology has come to our rescue and there are more than pen and paper version of these puzzles and games. Just do an "App" search and there is a plethora of free and paid games and puzzles available. Did you know that there are even electronic "jig-saw" puzzles? Highly portable! One does not have to be a knowledge junkie to keep the brain fit and healthy.

How does this translate to individual personalities?

Mover: Loves to learn and experience new things but does not often go in depth. They prefer to keep the excitement alive through the new experiences. If possible physically and financially they love to travel, explore, discover and learn with other highly motivated individuals.

Thinker: Loves to travel and learn and are especially enamoured of the on-line learning opportunities. They appreciate that they can learn at will, conveniently and as set by their schedule. Often have no difficulty in keeping mentally fit and challenged as they readily will learn on their own.

Planner: Love guided trips with a set itinerary and knowledgeable guides and travel companions. A small group tour or a museum or the Vatican is their idea of perfection. Electronic learning is acceptable, but they are most attracted to free University in class learning. The best of all worlds for them!

Connector: Really enjoy learning in groups and especially with a cohort of friends. Taking up golf or "Pickleball" is fun with friends. Learning to knit or do woodworking is fun with friends. Reading novels and then being able to talk about the characters and story in a group is a great experience. Connectors are less likely to engage in formal courses or higher-level learning but do like to keep cognitively engaged through relating and experiencing with others.

Review

It matters not whether retirement planning starts with money or time, what matters is that both are considered. It may not be easy to initiate the conversations with your clients but a handout or information in an email prior to the appointment might make it easier to have an open discussion.

This unit has covered some specific tools you can use to engage your clients in thinking and talking about how they would prefer their future to unfold. These five tools can be used individually or as a suite of tools depending on what your client needs to plan for envisioning their future. These tools can and should be shared with spouses and partners and other family and friends who are important to your client.

There is no question that clients planning for their successful and fulfilling retirement years must consider their financial plan. The finances contribute to some of the life management decisions.

Equally, consideration must be given to the life requirements when a financial plan is being prepared and executed. Time and money go hand-in-hand.

This unit also explored eleven areas of Life Planning Conversations. Some of your clients may be ahead of you and have given these areas consideration, but many will not have looked at all these areas. Each section also gave you hints for each Personality Type and what they may do or how they may respond. Each person is a unique individual who will bring their individual self to the planning session. As you become more familiar with these tools and other tools you may discover, you will find your unique planning and conversation style that is going to serve you well as you engage in the full spectrum of retirement planning with your clients.

By exploring and planning with a client for all aspects of their life in the future an RRC/CR®, with these tools can provide excellent service, support and success for your clients.

Client Engagement Skills

Welcome to Client Engagement Skills. In this lesson, you will learn about soft skills, why they are so important in developing and maintaining client-planner relationships and techniques that will enable a planner to improve his or her soft skills. This lesson will also look at the various life stages and to what extent retirement planning fits into each stage. Finally, how a client will define his or her retirement vision and retirement goals will be explored.

At the end of this lesson, you will be able to do the following:

- distinguish between soft skills and hard skills
- understand the importance of two particular soft skills: effective listening and effective questioning
- describe the format of a typical client meeting
- describe how soft skills can be used to address client objections
- identify the different stages of life planning and the main characteristics of each stage
- define lifestyle retirement planning
- describe the topics covered as part of uncovering a client's retirement vision and goals

What are Soft Skills?

Whether or not we are aware of it, living in a civilized society, we all possess soft skills albeit, to varying degrees. In large part, soft skills are social skills that are intangible but nevertheless, integral in effectively dealing with family and friends, co-workers, existing and potential business partners and clients and even with complete strangers. Your ability and willingness to help others, to work in a team environment, to solve problems and to communicate effectively are just a few examples of the many different components that make up the skill set known as soft skills. Soft skills reflect your ability to empathize, to listen and ultimately, to earn the trust and respect of your clients.

As a financial planner, the importance of soft skills in attracting and perhaps, more importantly, retaining clients is often understated particularly, when compared to the more tangible requirement for *hard skills* such as product knowledge, educational proficiencies and technical skills. Without minimizing the importance of hard skills—clearly, a planner must be technically competent—the reality is that it is the soft skills demonstrated by the planner that builds a trusting, enduring relationship with his or her client. An advisor who has strong soft skills will utilize them such that it appears to be natural and genuine and will have the ability to adroitly look for clues such as reading a client's body language and listening carefully to what is being said so that it can lead the advisor to ask appropriate questions.

The significance of soft skills is akin to the bedside manner of a doctor. Two doctors may have an equally high degree of proficiency and technical skills to treat a given ailment. However, beyond his or her actual competence, wouldn't you rather be treated by a doctor that demonstrates compassion, empathy and respect, who can eliminate your anxiety and fear and restore calm and peace of mind by simplifying complicated medical concepts into layman's terms? As a patient, wouldn't you want your doctor to listen and directly address your concerns and to take the steps necessary to ensure you have a clear understanding of your circumstances and the implications of the proposed treatment? Clearly, the doctor who is compassionate and who has highly developed communication skills will be the doctor who is going to be more effective and who will have the better relationship with his or her patient. The argument has also been made that a doctor with a good bedside manner significantly aids the recovery of his or her patient.

Soft skills are also distinct from hard skills in that hard skills must be learned. For example, a planner does not have an innate understanding of the details relating to a given investment product or a tax concept. Rather, this knowledge can only be gained through proactive learning and experience. In contrast, soft skills tend to be more intuitive based on societal norms and accepted social practices. This being said, as we are all aware, the soft skills of some individuals are considerably better than the soft skills possessed by other individuals. The good news is that where we may be lacking, techniques can be learned to improve and expand on the basic soft skills we all possess.

The most effective financial advisor is one who follows the financial planning process using his or her fundamentally sound hard skills in conjunction with a highly developed suite of soft skills. Soft skills can be categorized as follows:

Type of Skill	Required Soft Skills
communication skills	• listening

	• questioning • probing • clear presentation
client and co-worker interaction skills	• attitude awareness • conflict handling • co-operation • diversity tolerance • teamwork • willingness to help • taking and understanding direction • supervision • problem solving
self-management skills	• decision making • willingness to learn • time management • self-discipline • stress management

Effective Listening

Of the six steps that are part of the retirement planning process, the second step—establishing client objectives and gathering data—is paramount. After all, it is during this stage of the process that the planner will uncover the client's retirement objectives and set into motion a roadmap to optimize financial security for the client in retirement.

During the course of the discovery meetings with a client, rarely will he or she, on her own, offer all of the necessary information in sufficient detail to allow a planner to formulate a retirement plan. So, it is during the second step of the retirement planning process the two most important soft skills possessed by a planner come into sharp focus: listening skills and asking effective questions.

The value of listening

In a typical client-planner relationship, the planner is viewed as the expert while the client is relegated to the position of being dependant on the advice dispensed by the planner. On the surface, the dynamic of this relationship would lead one to think that a client-planner meeting would predominantly be a one-way conversation with the planner doing the talking and the client doing the listening.

Paradoxically, the most effective meeting between a financial advisor and his or her client would actually be the reverse scenario: the client should do the majority of the talking while the planner listens attentively. Upon further reflection, this actually makes perfect sense. The role of the planner is to formulate strategies and to assist his or her client in making the best possible financial decisions. However, being able to do this is predicated on learning the details of a client's financial situation and identifying the client's goals and objectives. This can only be achieved if, during the early stages of the financial process, the advisor is *listening* to the client more so than talking to the client.

Listening Techniques

If we accept that listening is one of the most important soft skills a financial advisor can possess, what techniques can be employed to ensure you are maximizing your listening skills?

Whether it is your spouse, your child, your friends, your boss or, more relevant to your role as a financial planner, your client, listening attentively can sometimes be challenging. Moreover, our natural tendencies suggest that it is far easier for most of us to talk than it is to listen. In the midst of a conversation, how often have we found ourselves thinking forward to how we are going to reply to the other person, rather than focusing on what is being said? Similarly, how often do we think we know what the other person is going to say and end up interrupting them to complete their thought for them or if we are able to hear them out, do we really pay as much attention as we should?

Listening attentively is a skill; it is also one of the biggest compliments and signs of respect you can give another person. The following list identifies techniques that will enable you to become a more effective listener:

i. Stop talking: It sounds easy and obvious but, as we all know, it is more difficult in practice. The bottom line: it is difficult to listen and speak at the same time.

ii. Face the speaker: Sit up straight or lean forward slightly to show your interest and that you are paying attention. Your body language shows the speaker whether or not he or she has your attention.

iii. Maintain eye contact: Eye contact with the speaker shows that you are focusing on what is being said. You must find a balance between too little eye contact and too much so, that you both remain comfortable.

iv. Listen attentively: Listen to what is being said without interrupting the speaker. Rather than thinking ahead to how you are going to reply, listen to what is being said to gather as much information as possible before you form your reply.

v. Show patience: Let the speaker finish his or her thoughts before you reply. Recognize that some people take longer or may have greater difficulty explaining what they mean or articulating their thoughts.

vi. Pause before replying: Wait a second or two after the speaker has finished his or her point. He or she may simply be taking a moment before continuing. By pausing, you will avoid interrupting the other person. If they have in fact finished speaking, a slight pause shows that you have listened carefully to what he or she has said.

vii. Question for clarification: If you are not a 100 per cent certain of what was said, never make assumptions. Asking open-ended questions like "Can you explain what you meant by…?" or "Why did you decide to do this rather than that?", you can gain the clarity you require in addition to showing the speaker you have an interest in what he or she is saying.

viii. Paraphrase what was said back to the speaker: What better way to demonstrate to the speaker that you have been listening attentively than by being able to paraphrase what he or she said to you? A further benefit of paraphrasing is that it gives the speaker the opportunity to offer more information and to clarify any misunderstandings.

ix. Summary and Reflective Statements

x. Summary and reflective statements are a byproduct of effective listening.

xi. Summary statements

xii. In a meeting, a planner should periodically inject a summary statement to summarize what he or she has heard the client say. This kind of statement ensures both the client and the planner have an understanding of what has been said (i.e. they are both on the same page) and it zeros in on the facts because peripheral issues are filtered out. A summary statement is also useful to conclude the discussion on one topic and segue into the next topic.

xiii. Example So, what you are saying is that travel will rank as your highest priority during retirement and you anticipate each trip to cost approximately $2,500. Let's move on to your family situation…

xiv. Reflective statements

xv. A reflective statement is often very similar to a summary statement. For a planner, it involves paraphrasing what he or she has heard a client say and reflecting it back to the client. The use of reflective statements by a planner is a strong indicator to a client that the planner is listening and that the client is the sole focus of the planner's attention.

xvi. Example When you managed your own finances, you were frustrated because of the volume of information you had to juggle every time you reviewed your portfolio.

xvii. Effective Questioning

xviii. Asking the right type of question at the right time is a skill a planner must master in order to effectively elicit the vital information needed to construct a comprehensive retirement plan. Effective questioning involves the use of two types of questions: open-ended questions and close-ended questions.

xix. Open-ended questions are used to encourage a client to speak freely and openly about his or her circumstances. The answers to these questions enable a planner to gather the pertinent data necessary to make recommendations later in the retirement planning process. Once sufficient information has been gathered, the planner can employ a series of closed-ended questions to clarify the client's situation and to confirm the accuracy of the information that has been accumulated.

Open-ended Questions

The purpose of asking an open-ended question is to obtain information on how a client feels or his or her opinion or knowledge on a given topic. An open-ended question may begin with words or phrases like 'what', 'where', 'how', 'describe', 'tell me about' or 'how do you feel'. Given the nature of an open-ended question, the client cannot respond with a simple 'yes' or 'no'; rather, the client is encouraged to provide a longer and more substantial answer. This is the ultimate objective of the planner when he or she poses such a question.

An open-ended question transfers control of the conversation to the client and as such, it is perceived as a less threatening way to gather information and helps develop trust with the planner. In short, it allows the client to speak rather than being relegated to the position of listening to the planner. Of course, there are various points during a discovery meeting where the planner must assume a more dominant position to ensure the meeting has direction and structure however, strategically interjecting moments where the planner relinquishes control to the client—through the use of open-ended questions—will prove to be significantly more effective in gathering the required information.

Characteristics of an open-ended question include:

- They require the client to think about how he or she will respond to a planner's question.
- Control of the conversation is temporarily given to the client.
- The planner will receive insight into the thoughts of the client.
- The planner may be able to elicit answers to more complex questions.

Of course the potential drawback of an open-ended question is that sometimes the client may provide too much information, particularly if it is not relevant to his or her retirement. It is at this point that a planner with highly developed soft skills will be able to politely and respectfully redirect his or her client to the topic at hand without making the client feel uncomfortable to the point he or she begins to withdraw and is no longer willing to share information.

Examples of open-ended questions that may be used during a discovery meeting include:

- Describe your experience the last time you met with a financial planner?
- How have you managed your investments in the past?
- Tell me about your plans for retirement?
- How do you feel about investments that may fluctuate in value?
- What do you see yourself doing during retirement?
- What are your intentions with respect to inheritances and charitable bequests?

Bearing in mind the purpose of step two of the retirement planning process is to acquire as much information about a client's situation and his or her goals as possible, it is easy to see how the use of open-ended questions so easily lends itself to discovery meetings with a client.

Closed-ended Questions

While an open-ended question requires a client to provide a longer more informative answer, the purpose of a closed-ended question is to obtain a quick, fixed response often, a simple 'yes' or a 'no'. A closed-ended question typically starts with words like 'would', 'when', 'can', 'is there', 'do you', 'are' and 'if'.

These types of questions are useful in confirming information that has been gathered from previously asked open-ended questions. They can also be useful when probing or leading the conversation in a specific direction. Understandably, in the early stages of a client-planner relationship, a client may shy away from elaborating on open-ended questions that are of a sensitive nature (e.g. medical information, if a spouse, common-law partner or family member has an addiction problem, issues surrounding same-sex relationships). Ultimately, more detailed information on these topics will likely be necessary if a proper retirement plan is to be implemented however, during the initial meeting, the use of closed-ended questions to gather at least some superficial information is a start and allows the meeting to progress rather than getting bogged down on one point. When the client is more comfortable revealing information about themselves in future meetings, these areas can be readdressed using open-ended questions.

Closed-ended questions must be used with care—if too many are asked in succession, the meeting may take on the feel of an interrogation rather than an informal discovery meeting. Obviously, this will make the client feel uncomfortable or threatened and will likely lead him or her to retreat as opposed to being more forthcoming with his or her answers.

Characteristics of closed-ended questions include:

- They are quickly and easily answered.
- They lead to precise, factual answers.
- The planner retains control of the conversation.
- They discourage disclosure or supplemental information beyond the basic question that is being asked.

Examples of closed-ended questions that may be asked during a client-planner meeting include:

- When was the last time you reviewed your retirement plan?
- Is there anything that you're concerned about, when you think about retiring?
- Do you know what your company pension plan will pay you at retirement?
- Have you ever owned investments that may fluctuate in value?
- Is it important for you to leave an inheritance or a charitable bequest?

The use of open-and closed-ended questions in conjunction will allow a planner to gather the information necessary to prepare a retirement plan, to offer professional advice and to add value to his or her relationship while building trust with his or her client.

Meeting with a Client

A client meeting typically involves a variety of steps. At each step, a planner will be presented with an opportunity to utilize his or her soft skills to make a client feel comfortable disclosing his or her private affairs, to elicit as much useful information from the client to construct a comprehensive retirement plan and to clarify and expand on information as necessary.

A client meeting will generally be structured as follows:

Opening

The early stages of an initial meeting with a client centers on making the client feel as comfortable as possible. The meeting will likely start with general conversation that is not necessarily related to the client's financial affairs such as a topical news item (provided it is tasteful and not too controversial of course), something in which you or the client were involved (e.g. a recent vacation) or a common interest (e.g. last night's hockey game). This early banter amounts to the proverbial 'small talk' however, if done with sincerity and genuine interest, it can prove to be an effective way to build rapport and to begin the process of lowering the barriers between the client and the planner.

Most people have the capacity to engage in forgettable 'small talk' when they meet new people at a social function or some other event however, having a general conversation in such a way that it seems real and encourages the other person to open up is a different talent altogether—a planner would do well to sharpen this particular soft skill.

The opening should also focus on obtaining agreement from the client on what should be accomplished during the course of the meeting. Proposing an agenda that clearly indicates what will be discussed will give the client a path to follow and it will also be a touchstone throughout the meeting to help both parties stay on track. As the planner reviews the agenda with his or her client, it is important for the planner to state and restate the value and the benefit of each objective to the client. At every turn, the client should know not just the process but, why each step in the process will contribute to the development of a retirement plan. Also of importance is for the planner to get acceptance from the client about each objective. Doing so not only shows respect and courtesy but, also makes the client an active participant in the process and makes it less likely that he or she will resist disclosing information about their circumstances.

Questioning / Listening / Probing

The middle stage of a client meeting is by far the most important. Using the meeting agenda as a guide, a planner will begin the process of gathering data and speaking to the client about his or her retirement vision and retirement goals. Depending on the complexity of the client's circumstances, it is unlikely that all the relevant information can be obtained during the course of a single meeting so, both client and planner should be prepared for questioning, listening and probing to take place over a series of meetings.

This step involves asking the right combination of open- and closed-ended questions, listening attentively to the response of the client and following up the initial questions with further probing questions to get additional details or clarification. This is also a time where unexpected opportunities may arise as your client explains his or her circumstances (e.g. they are expecting a large inheritance, they are not happy with the returns generated by the other planner with whom they deal). As discussed earlier, from a planner's perspective, listening is arguably more important than speaking.

No other step of the retirement planning process will reveal to what degree a planner has developed his or her suite of soft skills. Plainly put: the better the planner is at effectively using the full range of his or her soft skills, the more open the client will likely be to reveal the necessary information in the detail that is required.

Supporting

By this stage of the meeting, a planner should have a clear picture of his or her client needs and what the planner and his or her organization can do to satisfy those needs. At this time, a planner should summarize his or her client's requirements by paraphrasing them and then describe the specific features and benefits of a product or service that will address the client's needs. This process of supporting the client confirms that you understand what the client requires and that you have a solution to offer. Again, it is important to ask the client for agreement and acceptance on each point and to answer any questions the client may have before moving to the next stage.

Closing

By the time a planner has reached the final stage of a meeting with a client, the client's situation has been discussed, his or her needs have been uncovered through open- and closed-ended questions and confirmation from the client has been obtained regarding a course of action. The planner should again briefly review the benefits of the product or service accepted by the client. The planner should also congratulate the client for taking positive steps towards meeting his or her retirement goals. Finally, the planner should also offer to clarify any confusion or answer any outstanding questions the client may have.

Once this has been done, it is now time to agree on the next step whether that is opening a new account scheduling a follow-up meeting or some other event.

It sounds obvious but, at the end of the meeting, the planner should thank the client for his or her time and the planner should personally escort the client from his or her office.

Resolving Client Concerns

Inevitably, during the course of meeting with a client, a planner will face objections. How a planner deals with these objections can go a long way in either solidifying or diminishing his or her credibility in the eyes of the client.

It is often said—with good reason—that client objections should be viewed as an opportunity rather than an obstacle and that objections should be welcomed and not discouraged. When a client voices his or her concern on an issue, it gives the planner a chance to clarify and to explain. It also indicates that the client is engaged in the meeting and is interested—he or she simply needs to have their questions adequately answered before they feel comfortable moving to the next stage. From a planner's perspective, it is important to view a client objection not necessarily as an outright rejection of the planner or his or her ideas but rather, as an opportunity for the planner to expound and to provide greater clarity on a concept and to restate its features and benefits.

Handling client objections

First and foremost, when an objection is raised, the planner should acknowledge his or her client's concern. From there, it is critical the planner address the objection head-on rather than side-stepping the issue or ignoring the client altogether. At worst, if the planner is unable to provide an answer immediately, he or she should acknowledge this and then advise the client that further research is required to provide a suitable response. Most clients recognize that expecting a planner to have extemporaneous answers to every question is unreasonable so, they will be amenable to a minor delay. Where a client will be less tolerant is if the only response a planner offers is to evade questions or challenges.

Common client objections and how a planner might overcome them are detailed in the following table.

Client Objection	Planner's Course of Action / Resolution
client is happy with his or her current situation and does not want to change or is indifferent to a proposed idea	• acknowledge the client's point of view • request permission to probe • probe to raise awareness regarding client's need to change • explore the client's circumstances for opportunities • confirm the existence of a need • reiterate the features and benefits of the proposed resolution
client is skeptical	• acknowledge the concern • probe to understand the cause of the client's skepticism • offer relevant resolution • reiterate the features and benefits of the proposed resolution • check for acceptance from the client

client has a misunderstanding	• acknowledge the client's perception • probe to get further details on the client's understanding of things • clarify the client's misunderstanding • check for acceptance from the client and that the client is fully satisfied with the explanation
client does not like a particular feature of a product or of the proposed retirement plan	• acknowledge the client's point of view • request permission to probe • probe to get a deeper understanding of what exactly the client is dissatisfied with • offer relevant resolution such as an alternate product or amending the plan • reiterate the features and benefits of the proposed resolution • check for acceptance from the client and that the client is fully satisfied with the explanation

Sample Client-Planner Dialogue

Having learned about soft skills and their value during client-planner interactions, the following dialogue incorporates the concepts presented throughout this lesson. This example is not meant to be exhaustive but rather, a simple illustration of how soft skills can be utilized to engage a client, to build rapport, to create a feeling of comfort and confidence in the client and ultimately, to build a long-lasting, open relationship between a planner and his or her client.

Scenario: Armando and Janice

It is February 27th and Armando, who is 48 years old, is at his bank to make a last minute contribution to his RRSP. Armando has never been accused of having a sunny disposition or seeing life through rose coloured glasses so, needless to say, his demeanour has not been improved by the fact he has been kept waiting to see an advisor. After 20 minutes, Armando is finally greeted by Janice, a personal banker, who specializes in retirement planning. A dialogue between Armando and Janice ensues:

Janice: Hello sir. Please come into my office and make yourself comfortable. I'm so sorry for the wait…it's that time of year again…

Armando *(cutting her off mid-sentence and with sarcasm)*: Yes…yes…well, I don't think the time of year has anything to do with it—this branch always seems to have slow people in it who I'm not quite sure know what they are doing. Anyway, I just want to make a simple contribution to my RRSP—why it takes half an hour to do that, I have no idea but, let's just get this done so, I can get outta here.

Janice *(somewhat taken aback)*: Certainly, I can do that for you and again, I do apologize for your wait. What is your name sir so, I can pull up your account? *(obtains Armando's name)* May I call you Armando?

Armando *(gruffly)*: Whatever *(tosses $5,000 cheque across desk to Janice).*

Janice: Why thank-you for the cheque Armando… *(with good humour)* and delivered by express air mail too!!! So, I can certainly deposit this $5,000 into your RRSP and it will only take a second to print you a tax receipt. *(with continued good humour)* Something tells me you're in a bit of a hurry so, may I suggest we invest this money in your RRSP so you meet the contribution deadline, allocate the funds into the savings section of your plan—think of it as a parking spot until we find a more permanent home—and then schedule a follow-up meeting during which we can have a more in-depth discussion about your goals and retirement objectives and your investment options.

Armando *(with attitude)*: Whatever…as long as I get my tax receipt before I leave. As for the planning, are you sure you have what it takes to speak to me about retirement….are you even 20 years old?

Janice *(unflustered)*: Why thank-you for the compliment Armando but, I assure you not only am I more than 20 years old, more importantly, I am well qualified to speak to you about retirement planning. I hold the CERTIFIED FINANCIAL PLANNER® designation and the RRC title having recently completed the Retirement Planning Certificate Course.

Armando *(unimpressed)*: Well, be that as it may, in case you haven't noticed, I can barely stand being in this bank to do this transaction today…never mind sitting in your office discussing my retirement plans. Besides, that's all I hear…retirement *this*…and retirement *that*…it's a bunch of nonsense in my opinion.

Janice: You know you're actually right…the media can overdo things sometimes to the point where we may lose sight of the true message. That said though, may I ask you why you have such strong feelings on this topic?

Armando: It's overkill…there's so much talk about planning…*blah*…*blah*…*blah*…I'm sick of hearing it. I have a pension through work and we live in Canada where I can count on the government supporting me through retirement. That's all I need to know and that should be plenty for me to live on.

Janice: You're actually one of the lucky ones who belong to a pension plan and you're absolutely right, in Canada, we are fortunate to live in a country that gives us retirement benefits. That's a good start to your retirement income but, it raises an interesting question…Armando, are you positive that those two sources of income will be sufficient? *(deliberate pause)* Do you know exactly how much you will get from the government when you retire? *(deliberate pause)*...how about from your pension? *(deliberate pause)* You may be surprised to learn that for most seniors, living strictly off government benefits makes for a pretty rough retirement—it puts them only marginally above the poverty line. It depends on your company pension and your lifestyle but, even adding in that source of income may not give you what you would ideally like. How does that make you feel?

Armando *(thoughtfully)*: Well, I have never actually crunched the numbers so, I can't say I know the details. I worked with a planner once and all I know is I ended up with less money listening to him than I had before I met him. If anyone's retiring with a smile on his face, it's him because, he's got my money! After that debacle, let's just say, planners like you are not exactly on the top of my Christmas card list.

Sample Client-Planner Dialogue...continued

Janice: It's unfortunate you had such a bad experience. May I ask you about the nature of your relationship with this individual? What exactly did he do for you? Did he develop a full retirement plan?

Armando *(with some pain at having to relive an unpleasant memory)*: No…not exactly. I didn't really pay attention to what his title was or what his credentials were. Why would I? I was referred to him by a friend who said he had made lots of money using him in the past. That was good enough for me…or, so I thought. I met him, signed some papers, gave him whatever savings I had and he put me in some high flying energy stocks. The whole meeting was wrapped up within an hour. He said he would guarantee to double my money within a year. It all sounded so convincing but, the next thing you know, I lost 80% of my money.

Janice *(with genuine empathy)*: What a terrible story. You know Armando, I can completely appreciate why you would be hesitant to trust an advisor after what you went through. Unfortunately, it's one of those things where we have to be careful not to throw the baby out with the bath water. You see, the person you dealt with wasn't really a financial planner in the proper sense of the term—he was a salesperson pushing a product. Financial planning when done properly is very different. Our main interest is plotting out a course of action to make sure you end up where you want and need to be. I don't even want to talk about potential investments with you until I have a complete picture of your circumstances, what your vision is for the next several years leading to and into retirement and then learning what you are comfortable with and just as importantly, what you want to stay away from. The fact is, the actual investments are easy enough to pick; the more important issue is to lay out a plan that will ensure that we can get you from here to retirement and enable you to live the way you choose to live. Does that sound like an approach that makes more sense and more in line with what you would be comfortable with? Can you see the benefit of this Armando?

Armando *(thoughtfully)*: Well, I have to admit your approach is certainly very different than the approach of that other so-called planner but, what reason do I have to trust you anymore than I had to trust that other guy? The one thing you guys know is how to sweet talk someone into giving you their money.

Janice: You know Armando, given what you've been through, that comment is actually not out of line. I hear what you're saying. That said, I'm hopeful we can move forward and perhaps leave the negative experiences behind. I think that's an important step whenever we have a bad experience in our life. Maybe it will help if we draw an analogy: think of what I do with my clients along the lines of what a pilot does flying a plane. Have you ever caught a glimpse into the cockpit of a plane as you waiting in line to board? What do you see the pilot and co-pilot doing while passengers are getting settled? They are engrossed in doing checks and cross-checks, assessing the conditions with which they are faced and based on that formulating the optimal flight path, making and reviewing contingency plans and basically taking all the steps necessary to get their precious cargo from where they are now to their destination in the safest manner possible. You know Armando, in many respects that's exactly what we do as financial planners. It's the hours of work done before the actual 'flight' that is so crucial to getting our clients to their ultimate destination. Moreover, just like a pilot, when our clients encounter some turbulence with their portfolios, our 'pre-flight' and ongoing planning enables us to make adjustments on the fly—*sorry*…couldn't resist that one! Even though changing circumstances may take us from our original flight path from time-to-time, despite this, a sound plan will still get our clients to their destination. That's a far cry from just taking your money, throwing it at some speculative investment and hoping for the best. How do you feel about that Armando?

Armando *(more willing to listen to Janice)*: Makes sense I guess. I can see how a plan could be of value. Here's the thing though. I'm not worried about 20 years from now because I've got my hands full today. All I know is I work like a dog, I've got a wife who spends like she's a Hollywood actress, two whiny kids, a mortgage and credit cards that seem to suck up every last dollar I have. If I can just make it to retirement, I'll be happy because I've got enough problems worrying about right now.

Janice: No question it can be tough balancing all the challenges we face in our lives. If it's any consolation Armando, you are far from being alone in this regard—an increasing cost of living, juggling family and personal demands for money, job uncertainty, a high debt load—these are all common concerns that people have. Again, returning to the analogy of a pilot flying a plane, remember the flight path was put into place *before* the plane took off; not after it landed. Similarly, shouldn't it be *today* that you start thinking about your future? I'm sure you'll agree if you wait until you are ready to retire to begin planning, it'll be too late. It's interesting how you emphasized the challenges you are facing today. I would say that is the exact reason why everyone should have a plan because it can be so confusing, hectic and difficult to maintain a grip on things. If you have a plan, you know you have a solution to steer you through all the potential obstacles. Do you agree Armando? *(deliberate pause)* You know a lot of people look at their situation and say, 'what can possibly be done? I have a certain amount of income, a certain amount of debt and that's the reality of my situation.' Well, that's why professional planners can be so helpful. They are trained to identify opportunities and strategies that can make your situation less overwhelming. It's not unlike the expertise I'm sure you have in your field of work—I may have no clue what to do in a situation but, if you were brought into the picture, your skill and years of training will allow you to see a resolution I wouldn't have been able to come up with on my own. Does that make sense?

Armando *(as if a seed has been planted)*: It actually makes a lot of sense. To be honest, as much as I hate those stupid retirement ads, what my retirement years will look like has been playing on my mind lately. Every time I think about it though I get a headache because there is just so much stuff to consider. I have no clue where to begin so, I just end up doing what a friend told me to do and that's why I'm making this RRSP contribution.

Janice: Again, in many respects, you are no different than the vast majority of people. It can be pretty intimidating assimilating all the facts so, it's hardly surprising people feel overwhelmed. The good news is there is a solution and it's not something that has to be done in one day. Whenever I'm faced with what seems like an insurmountable obstacle, I like to break things down into its smaller component parts. All of a sudden you've got a bunch of small and more manageable things to do as opposed to one giant, intimidating thing. Keep focused and take care of the little things and before you know it, the big thing takes care of itself. So it is with a retirement plan, let's take some baby steps and go from there. Does that sound like an approach that is doable Armando?

Armando *(more relaxed and respectful of Janice)*: You know, it actually does sound good. So, as you've been talking, I've sort of been mulling over a few items…tell me Janice, what sort of income can I expect to have at retirement?

Janice: That's such a great question Armando. Unfortunately, I can't give you a proper answer at this particular moment because I don't know enough about you. Here's what I'm proposing: why don't we meet again and during that time I'll tell you a little more about the financial planning process and we'll start gathering the information I need to answer your specific question as well as a bunch of other questions I'm sure you have. Does that sound reasonable Armando?

Armando: A lot more reasonable than it would have sounded about an hour ago. I can't guarantee anything but, I will be willing to sit down with you again.

Janice sets a follow-up appointment, thanks Armando for his time and escorts him out of her office.

Stages of Life Planning: 20s, 30s and 40s

As an individual moves through the different stages of his or her life, not surprisingly, his or her priorities will typically change. A comprehensive financial plan in general, and a retirement plan more specifically, must address the changing circumstances and changing needs of an individual at each stage of life. While retirement planning generally comes into sharper focus during the mid- to late stages of an individual's life, the reality is that it is never too early to begin planning for retirement and consequently, it has a place in all life stages.

Twenties to early thirties

An individual in his or her twenties or early thirties has typically just completed his or her post-secondary education and is just embarking on a chosen career path. This stage is marked by a relatively high debt load (stemming from student loans or a mortgage), minimal savings and a modest but, increasing income. For most people in this age range, purchasing a car and a home, getting married and starting a family, paying off debts and pursuing interests, such as travel, tend to be top of mind. If an individual in this age group does have savings, an overweighting in equities is appropriate (subject to the client's risk tolerance) given his or her long time horizon.

In the bigger picture then, planning for retirement—an event that will take place 30 or 40 years in the future—is unlikely to rank highly among individuals in this life stage. As a planner, it is important to recognize not just the future needs of a client but also, his or her current needs. Accordingly, a planner will do well to educate a client in this stage about the benefits of starting a retirement plan as early as possible, implementing a savings program (e.g. via an RRSP) and discussing the various sources of possible retirement income (e.g. a company sponsored pension plan and government benefits). As important as planning for the future may be, at the same time, the planner must acknowledge that discretionary funds will be needed for the individual to live and enjoy his or her life in the present.

Early thirties and forties

At some point during this life stage, an individual typically becomes established in his or her career. He or she has been able to accumulate some savings and the individual's income continues to increase as he or she approaches their peak earning years. An overweighting in equities is still appropriate for an individual in this age bracket provided of course, he or she is comfortable with the inherent volatility. There will likely be many expenditures that will compete for the income of the individual. In this period, the focus of an individual tends to be on moving into a first home or a larger home, paying off the mortgage and other debts and saving for his or her children's education.

Significant life events may also take place that may create a financial strain such as a divorce followed by a second marriage, support payments (e.g. child support and alimony payments), the death or the ill-health of family members (e.g. dependant parents and siblings) and a change of career (whether voluntarily or due to layoffs or poor economic conditions).

Individuals also begin to see retirement as something palpable as opposed to some disconnected event in the distant future so in this life stage, there tends to be a marked increase in the percentage of savings allocated for retirement. This may be magnified for an individual in his or her forties who has yet to begin saving for retirement. There will likely be a sense of urgency with the sudden realization that retirement may only be 15 – 20 years away.

Stages of Life Planning: 40s - Early 50s

The period during one's forties to approximately age 54 is often described as the pre-retirement period. During this time, the individual is generally in his or her peak earning years, has a reduced debt load and an increased net worth. If his or her risk tolerance permits, an individual in this age group may have a high allocation of his or her savings in equities to continue to emphasize growth over the long-term. As the individual enters his or her fifties, he or she will likely introduce more fixed income investments into their portfolio to gradually shift the focus to capital preservation. Ideally, his or her mortgage has been discharged and children are no longer financially dependant on them. If not theoretically, certainly practically, it is during this period that retirement planning begins in earnest and answers to planning questions become less general in nature and more definitive.

This life stage provides the perfect opportunity for a planner to assess a client's situation—for clients who have been following a well-conceived savings plan to this point, the findings will reveal they have made significant strides towards a comfortable retirement; for other clients who have procrastinated, a planner will have to deliver the news that significant lifestyle changes will need to be made for the client to reach his or her retirement goals or alternatively, expectations at retirement will need to be reduced.

Life planning questions

At this stage, examples of questions a planner may ask of his or her client include:

- Have you given thought to what age you would like to retire? Tell me about it.
- At this stage, what are your financial goals and objectives? How would you prioritize them?
- Are there circumstances in your life that could delay or jeopardize your retirement plans?
- Describe your current financial situation. Have you completed a net worth statement to determine your assets and liabilities and to get a snapshot of where you stand?
- Have you begun saving for retirement? If so, how are you doing this? If not, what obstacles are preventing you from doing so?
- Do you have credit card debt or personal lines of credit that could be consolidated to reduce your monthly debt payments? Do you have a plan of action to eliminate any non-constructive debt?
- Are you making regular contributions to your RRSP? Do you have unused RRSP contribution room? If so, have you explored strategies to take advantage of this room (e.g. RRSP loans)?
- Will you be funding your children's education? If so, for how long (i.e. a basic undergraduate program, a Masters program, etc.)?

Stages of Life Planning: Mid 50s - Early 60s

The mid-fifties to early sixties is the period of early retirement. In recent years, as much as 50% of retirees have left the workforce by age 62. If he or she elects to retire, the individual may be eligible for government benefits such as CPP and upon retirement, will begin receiving pension benefits from his or her former employer.

For an individual that continues to work during this time, certainly, he or she is keenly aware of the prospect of retirement. The individual in this life stage has ideally accumulated a significant net worth and has minimal debt. A common asset allocation for someone in this age bracket is a balance between equities and fixed income investments. As the individual approaches retirement, his or her investment goals will likely shift from long-term growth to capital preservation. This life stage is a time when an individual must come to terms with the reality that he or she is about to enter the next phase of life and must be prepared for this change psychologically as much as he or she must be ready for this change financially.

Life planning questions

- At what age would you like to retire?

- Do you plan to continue working part-time during retirement?
- Have you planned a realistic budget of your cash flow to determine what your expenses may be when you stop working? Will you be debt-free when you retire?
- What is the earliest age you can retire and still receive a full pension?
- Do you feel you are on track to achieve your retirement goals?
- How much of your after-tax income are you presently saving for retirement? In what form are these savings?
- How do you feel about the current asset mix of your retirement savings? Are you still comfortable with the potential fluctuations that may take place?

Stages of Life Planning: 65 - 70

From age 65 to age 70 is when the vast majority of individuals will actually retire. By this stage, the individual's retirement savings will likely have an overweighting in fixed income investments to emphasize income and capital preservation over growth. That said, it is important to maintain an element of capital appreciation—subject to the client's risk tolerance—given that his or her retirement period could extend for 20 or 30 years or longer. Hopefully, a comprehensive retirement plan has been a part of this individual's life for several years so, this stage should mark the culmination of that prudent planning. This said, this phase only marks the *beginning* of the individual's retirement—by no means does the planning stop just because he or she has stopped working.

Life planning questions

- Describe what your retirement will look like. Will it include travel, hobbies, part-time work, etc.?
- What medical benefits do you have?
- Will you remain in your current home or do you have alternate living arrangements in mind. If so, what are they?
- If there is a need, how would you feel about using your home as a means of generating more income (e.g. reverse mortgage)?
- Do you plan to leave a legacy for your children and grandchildren?

Stages of Life Planning: Later Retirees

Whether out of financial necessity or by choice, increasingly, seniors are remaining in the workforce in greater numbers than ever before. While the majority of seniors have retired prior to reaching this life stage, there will be individuals who will defer retirement to their 70s and beyond.

Life planning questions

- Describe your health status. Are there potential medical issues that can significantly impact your retirement lifestyle?
- Have you had to deal with the death of a spouse or common-law partner? If so, how are you coping? What has been the financial impact of this loss? What are your sources of emotional support?
- Are you still capable / willing to maintain your current independent lifestyle? Do you foresee moving into a retirement home or some alternate arrangement?
- How do you feel about your current level of retirement income? Are there unforeseen expenditures or life events that require adjustments to the withdrawal rate from your retirement savings?
- What role will your children / family play in your retirement? Can they be counted on for ongoing support?

Lifestyle Retirement Planning

We've all heard that certain life events, such as the death of a loved one or a contentious divorce can prove to be deeply traumatic experiences. Although, not often thought of in this context, retirement too can fall into this category. With so much emphasis placed on career, status and financial trappings within our North American culture, over the course of our working lives, it becomes very easy to inextricably link our identity and self-worth to our career. So, what happens to an individual's self-perception when one day he or she no longer has a job to go to? What happens when an activity that has been such an integral part of our lives is suddenly taken away? Retirement is not simply a matter of ceasing to work; it is a state of mind and a stage in life for which one must be prepared to embrace psychologically as much as they must be prepared financially.

Lifestyle retirement planning is becoming increasingly more important as baby boomers enter retirement. This type of planning removes money from the equation and instead focuses on how and what a client will do during his or her retirement years. For example, during retirement, will an individual continue to work on a part-time basis? Will he or she travel or pursue other hobbies and interests? What will he or she do to keep their minds sharp? Has the individual adequately prepared himself or herself for the change of pace that retirement will bring? Has the individual come to terms with the fact that during retirement, he or she will not be in the same supervisory capacity as he or she may have been in while working? Lifestyle retirement planning shifts the preoccupation from funding retirement to evaluating the *quality* of retirement and the readiness of the individual (especially, mentally) to enter the next stage of his or her life.

Addressing the quality of life during retirement is becoming a more and more prominent issue during the planning stages whether retirement is at the standard age or at some earlier point. Increased life expectancy has also increased the importance of lifestyle retirement planning given that it is no longer uncommon for retirement to extend to 40 years.

The concept of lifestyle retirement planning may be encapsulated by the following questions that a planner may ask of a client:

- When you look forward to your life during retirement, what does it look like?
- What is your health status? Describe your family health history? Are there serious ailments and conditions in your family health history that may be of concern in your life?
- What are your hobbies and interests? How much time do you anticipate spending on leisure activities going forward?
- Do you have interests (e.g. clubs, hobbies, activities, school, courses) that you have always wanted to pursue but, were unable to while working? Can you see yourself taking on these new challenges/opportunities during retirement?
- Do you have a social network? Can you envision spending more of your time devoted to social activities during retirement?
- What, if anything, will you miss most about working? How will you compensate for the fact these things will no longer be a part of your life (at least in its previous capacity)?
- Have you spoken to your spouse or common-law partner about how much more time you will have together during retirement? Is this a good thing? If not, how will you deal with this?

Retirement Vision vs. Retirement Goals

It is during the crucial second step of the retirement planning process—establishing client objectives and gathering data—that a planner will ask a client to articulate his or her vision for retirement and his or her retirement goals.

Retirement vision

When a client is asked to describe his or her retirement vision, it tends to be a more general and holistic exercise with a strong focus on the *quality* of an individual's retirement. Through skillful questioning and probing, the role of the planner is to make this general vision as detailed as possible such that relevant information can be meaningfully incorporated into a retirement plan.

Retirement goals

In contrast, discussing a client's retirement goals tends to deal with issues that are more definitive, concrete and tangible. More often than not, a client's retirement goals are more readily quantifiable and take on a decidedly financial bent relative to a client's retirement vision.

Helping a client clarify vision / goals

Whether addressing a client's retirement vision or his or her retirement goals, the main obstacle to gathering data from the client is the client's natural tendency to speak in generalities. For example, it is typical for a client to define his or her vision or goals during retirement as 'being able to maintain a comfortable lifestyle' or 'spending my days pursuing my hobbies'. This type of description may be sufficient in a casual conversation however, for purposes of creating a comprehensive retirement plan, these wishes must be spelled out in greater detail.

To encourage a client to expound on his or her vision or goals, a planner must call on his or her suite of soft skills, in particular: carefully crafted, open-ended questions. Frequently, the actual questions a planner asks regarding a client's goals will overlap with the questions he or she will ask regarding a client's retirement vision nevertheless, the answers can prove to be a valuable contribution in the formulation of a retirement plan.

Questions a planner should ask to help clarify a client's retirement vision or a client's goals should at a minimum address the following topics:

- financial issues
- family issues
- health issues
- managing time during retirement
- working during retirement
- maintaining a social network
- down time in retirement
- estate planning issues

These topic areas are discussed in detail in the ensuing pages.

Financial Issues

Obviously, part of identifying a client's retirement vision and retirement goals will center on financial issues. Examples of questions a planner may ask of a client in this regard include:

- What annual income do you feel you need to support your anticipated lifestyle during retirement?

- A common rule of thumb states an individual who retires debt-free requires 60% to 80% of his or her current income to live comfortably. Having completed a projected income / expense statement based on your situation, how do you now feel about your financial security at retirement? Are you prepared to increase your current level of savings / rethink your objectives following our findings?
- What additional expenditures do you foresee once you retire (e.g. increased travel expenses, medical expenses)?
- Do you intend to remain in your current home when you retire?
- When was the last time your insurance coverage was reviewed? Do you have long-term care insurance and critical illness insurance coverage? If you intend to spend a lot of time outside of Canada, what health care provisions do you have?
- What are your intentions with regards to applying for CPP retirement benefits? Has anyone presented you with your options regarding applying prior to age 65 vs. applying at age 65 vs. applying after age 65?
- What sources of income will you have at retirement? Are you aware of the potential tax implications at retirement: clawbacks, impact on claiming tax credits and income splitting opportunities?

Family Issues

Questions must be asked about a client's family situation. Examples of such questions include:

- Will your spouse or common-law partner be retiring at the same time as you?
- If you have children, are they self-sufficient or do they still rely on you for support (whether regularly or periodically)?
- If you have grandchildren, what role do you see yourself playing in their lives? Is it important to provide financial support to them (e.g. to cover education costs)?
- Do you have special family circumstances that need to be factored into your retirement planning (e.g. children with special needs or health issues, family members with addiction problems, legal troubles or who are financially irresponsible)?
- If your spouse or common-law partner were to predecease you, how will you cope with living alone? Do you have options such as moving in with children?

Health Issues

The physical and mental health of a retiree has a direct impact on an individual's retirement. A planner must gather data relating to the client's health:

- Describe your health status.

- When was the last time you had a physical?
- Are you physically active? If not, what physical activities can you envision taking on during retirement?
- How would you feel about meeting with a nutritionist and a fitness trainer to formulate a plan to promote your health and well-being?
- Of equal or perhaps greater importance is your mental health. What activities will you participate in to challenge your mind and to keep yourself mentally sharp during retirement?
- What routine do you have in mind to exercise both your body and your brain on a daily basis?
- If you were to develop a serious health condition, what provisions do you have in place for your care?
- When you retire, beyond provincial government health care programs, what medical benefits and coverage will you have in place (e.g. will your former employer continue to cover you for a period of time, will you purchase individual coverage)?
- Have you given any thought as to how your life would be impacted if you were to suddenly become physically or mentally incapacitated? Is there a person in your life you can depend on to take care of your interests if you are unable to do so? Are you aware of the purpose of a power of attorney, health care directive, etc.?

Managing Time During Retirement

It may sound odd but, for many, one of the biggest surprises about retirement is just how much unaccounted time a person suddenly has. This is especially true in the early years of retirement and especially if the retiree had an active and busy career leading up to retirement. A planner must raise this issue with a client approaching retirement so, he or she can prepare themselves accordingly. Sample questions are as follows:

- How do you envision your life in retirement now that you no longer have the daily routine of going to work?
- Describe how you would plot out a typical day in retirement—from the moment you wake up to the time you go to sleep.
- What will you do to derive the most enjoyment and pleasure from each day?
- What interests / activities / hobbies have you always wanted to pursue but, have not been able to due to a lack of time? Do you anticipate pursuing these interests during retirement and what expenditures will be required?

- How do you feel about doing community / volunteer work?
- How will you guard against the other extreme that frequently befalls a retiree: filling your time with activities just to stay busy as opposed to selectively participating in fulfilling and rewarding activities?
- Do you anticipate travel being a significant activity during retirement? If so, where do you see yourself going and how often? How much would each trip cost?

Working During Retirement

While retirement may mean the end of one's main career, it does not necessarily signal the complete cessation of employment. Many retirees continue to work on a part-time basis or as a consultant after age 65. This can significantly impact a client's retirement plan so, a planner should ask questions that include:

- Do you envision working in some capacity during retirement?
- If yes, why will you do so—is it because you require the supplemental income or because you simply want to remain active?
- What are your thoughts on mentoring younger people? Does the idea of passing on your expertise and experiences to these individuals interest you?
- Have you ever wanted to establish your own business? If so, can you see yourself pursuing this goal during retirement? What time and financial commitments will be required?

Maintaining a Social Network

A retiree who has an active, robust social life enjoys a more fulfilling and satisfying life. A planner must ask questions that require a client to assess his or her social network:

- During retirement our social network tends to shrink as work relationships are lost and there is a natural attrition of friends. How do you feel about this?
- How will you replace lost relationships and develop new relationships to maintain a social network?
- Is the quality of your current social network as good as it could be or will you feel isolated when you retire?

Down Time in Retirement

Down time is an important part of our lives. 'Doing nothing' (e.g. taking naps, watching television) enables us to re-energize ourselves and arguably, it takes on greater importance during retirement. However, when down time becomes the routine and the central focus of our life, it can take a negative spin. A planner must address this issue with his or her clients:

- You want to strike a balance between an active, productive retirement and having sufficient down time to relax and enjoy the fruits of your working life. What do you see yourself doing to just relax?
- Obviously, one of the benefits of retirement is having the luxury of slowing down the pace of your life. However, this can be taken to an extreme. How will you guard against becoming a 'couch potato' during retirement?

Estate Planning Issues

Clearly, legacy planning is a key component of retirement planning. Accordingly, a planner may want to ask questions that include:

- Do you have a will? Has it been reviewed recently to reflect changes in your life (e.g. the persons / entities originally named as beneficiaries are still individuals / entities you want to inherit your assets, beneficiaries / personal representative originally named are still alive and remain on good terms with you, in the case of the executor / executrix, is he or she still willing and able to assume his or her duties and are the account numbers cited in the will still valid)?
- Do you own property outside of the city in which you live or outside Canada? If so, what are your intentions for those properties upon your death. Have they been accounted for in your will?
- How do you feel about charitable giving and how does it fit into your retirement vision or goals? Are you aware of the potential tax benefits of such a strategy?
- If you own your own business what would you like to see happen when you retire or die? Do you want to remain actively involved in the business during retirement? Are you grooming someone to eventually take over the business (i.e. What is your succession plan?)? Are you aware of tax strategies that are commonly used by business owners (e.g. intergenerational transfers, estate freezes)?
- Reflection
- Take a moment to reflect on this lesson and identify three main points. It could be information you can apply when serving a client, or it could be something that surprised you, or something you feel you should review.
- You may want to add these points to your study notes, so that you can review them at any time.

Review

You have completed Soft Skills. In this lesson, you have learned how to do the following:

- distinguish between soft skills and hard skills
- understand the importance of two particular soft skills: effective listening and effective questioning
- describe the format of a typical client meeting
- describe how soft skills can be used to address client objections
- identify the different stages of life planning and the main characteristics of each stage
- define lifestyle retirement planning
- describe the topics covered as part of uncovering a client's retirement vision and goals

Assessment

Now that you have completed Soft Skills, you are ready to assess your knowledge.

You will be asked a series of 5 questions. When you have finished answering the questions, click Submit to see your score.

When you are ready to start, click the Go to Assessment link.

Go to Assessment

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Module 7

Retirement Planning Process

Welcome to the lesson, Retirement Planning Process.

The Role of the Financial Planner in Retirement Planning

The role of a financial planner in retirement planning goes beyond merely analyzing a client's existing resources and determining how much must be saved to reach a particular level of projected retirement income. A good retirement planner should be prepared to assist his or her client in developing realistic retirement objectives and lifestyles, and to help ensure that the client is aware of the decisions and adjustments that he or she may have to make at retirement. A retirement planner should be able to help his or her client retire to something, not just from something.

Examples of the services that a retirement planner might provide include the following:

- showing clients who are in their early working years the benefits of identifying retirement objectives, and starting to save and invest early
- showing clients who are in their peak earning years the importance of accumulating sufficient retirement resources and investing them appropriately
- reviewing existing resources and pension plan memberships, and projecting the savings required to reach retirement objectives
- counselling clients approaching retirement about the financial and other adjustments that they will face at retirement
- counselling clients regarding their distribution options of pension benefits
- evaluating the advice that a client receives from other retirement advisors, to ensure that it is consistent with his or her overall retirement plan
- counselling clients who have retired about liquidating assets to meet living expenses

Phases of Retirement

There are five main phases of retirement:

- beginning the planning process
- implementing the plan and building the retirement fund
- monitoring progress
- approaching retirement
- retirement and distribution of assets

A client might seek the advice of a retirement planner at any point during a particular phase.

Beginning the planning process

Ideally, your client should begin planning for retirement as soon as he or she begins working, by formulating some idea of when he or she would like to retire and what he or she expects his or her lifestyle to be at retirement. You could advise your client of the amount that he or she should save each year in order to reach his or her retirement objectives.

Implementing the plan and building the retirement fund

Once your client has an idea of how much he or she should save towards retirement each year, you can review planned investments to ensure that they are consistent with the overall plan.

Monitoring progress

A retirement plan may evolve over a period of 30 years or more, during which time many of the assumptions made in the original plan (e.g., inflation rates, interest rates, salary increases, and so on), may become invalid. Monitoring progress on a regular basis is therefore essential in retirement planning.

Approaching retirement

As your client approaches retirement, he or she should take the time to review his or her retirement objectives and expectations. It is during this time that he or she may want to consider the option of retiring earlier or later, or he or she may be faced with the decision of accepting an early retirement offer from his or her employer. Clients wishing to relocate to a new home for their retirement years might want to do so now to get themselves established in the new neighbourhood. It is also a good time to encourage your client to reflect upon how he or she is psychologically prepared for retirement and to ensure that he or she will have a meaningful retirement lifestyle.

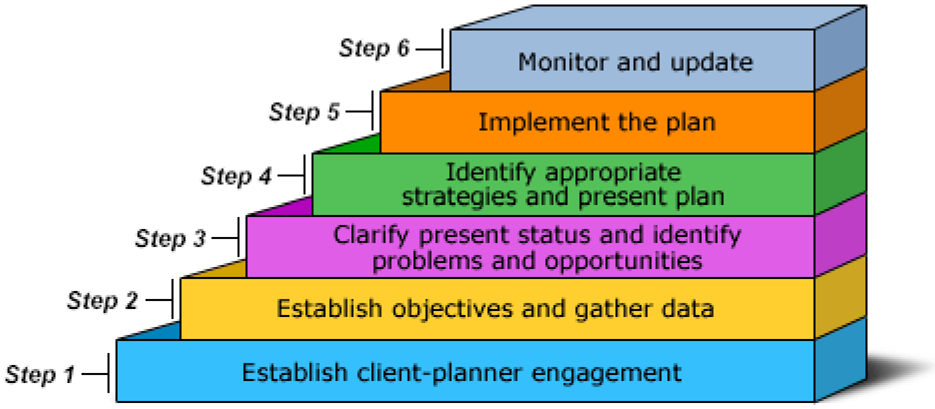
Retirement and distribution of assets

Your client may face many decisions at retirement. What form of pension should your client select? Should your client purchase a life annuity with his or her RRSP funds? Does he or she want to downgrade his or her residence? When should he or she begin drawing funds from his or her RRSP? How much should he or she withdraw from a registered retirement income fund? You can provide important advice during this period.

The Six-Step Planning Process

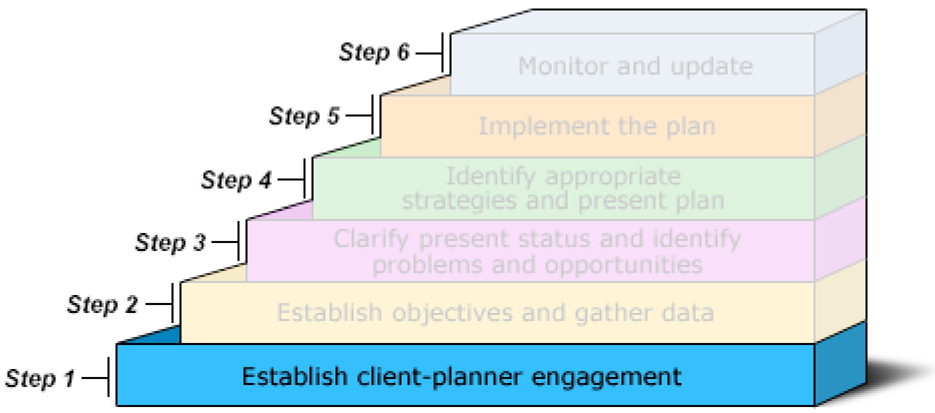
Regardless of the retirement phase at which advice is sought (for example, 30 years prior to retirement or just approaching retirement), the personal financial planning process can be summarized in six main steps. Of course, documentation throughout the entire process is critical.

Below are the six main steps of the personal financial planning process.



Step 1: Establish the Client-Planner Engagement

The first step of the retirement planning process is to establish the client-planner engagement.



The purpose of a client-planner engagement is to ensure both the client and the planner are aware of what to expect from the other party and to make each party aware of his or her responsibilities to contribute to the development of the relationship.

From the planner's perspective, he or she should spell out exactly what the financial process entails and what the benefit of going through the process is to the client. The planner should also detail what services he or she is able and willing to provide to the client. For example, the planner may be licensed to sell securities however, he or she may not be licensed to sell insurance products—the client needs to be aware of this. The client may expect monthly face-to-face meetings; the planner may only be willing to meet semi-annually. Clarification at this stage enables the client and the planner to ensure what the planner is willing and able to do is in line with what the client expects or needs and ultimately, if the two individuals are a fit.

The planner must disclose what his or her responsibilities are to the client particularly, how the planner is to be compensated for the services he or she provides and if there are any potential conflicts of interest. Finally, the planner should identify his or her expectations of the client.

After all, the planner is forging a relationship with this person so, it is important that the client lives up to his or her obligations as well (e.g. meet periodically as scheduled, disclose all the necessary information to formulate a comprehensive retirement plan).

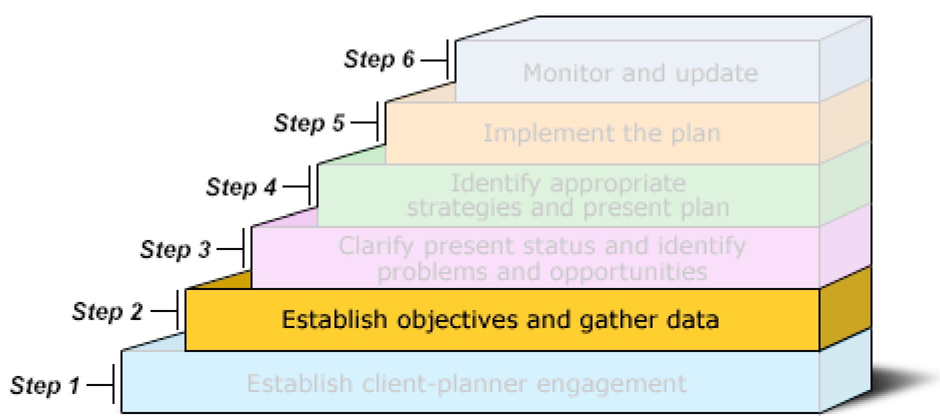
Throughout this first step of the planning process, it is imperative that the planner get frequent confirmation from the client that he or she understands what is being said and that the client agrees to be a willing participant in the relationship.

Together, the client and the planner should then discuss the scope of the client-planner engagement and come to an agreement as to how decisions will be made going forward. For example, some clients prefer a hands-off approach essentially leaving it to the planner to provide them with advice and recommendations as the planner sees fit (in such cases, the planner must be mindful of the rules prohibiting discretionary trading). Other clients, to varying degrees, prefer to have some involvement in the management of their money and the decisions that are being made.

A properly drafted client-planner engagement will enable both parties to manage expectations. Regardless of what pre-conceived notions a client may have had prior to meeting the planner, following the establishment of the engagement, the client will be able to distinguish between what expectations are realistic and what expectations are not. The client-planner engagement removes any ambiguity and because the obligations of both parties are delineated and agreed upon from the outset, it can eliminate the potential for ugly disputes as the relationship develops.

Step 2: Establish Objectives and Gather Data

Establishing objectives is a fundamental step of any financial planning process—after all, if you do not know where you are going, how can you know when you get there, or even decide what route should be taken?



Clients should be as specific as possible in stating their retirement objectives. Frequently, a client will state his or her objectives vaguely, as in the following example:

- I want to retire comfortably, at an age when I can still enjoy it.

You should encourage your client to be more specific, as in the following examples:

- I want to retire at age 60, with an equivalent income of $40,000 per year.
- If possible, I would like to retire before age 65, while being able to maintain my current lifestyle and to take at least one major vacation per year.

When setting his or her objectives, you should encourage your client to ask himself or herself questions about his or her expected lifestyle, as in the following examples:

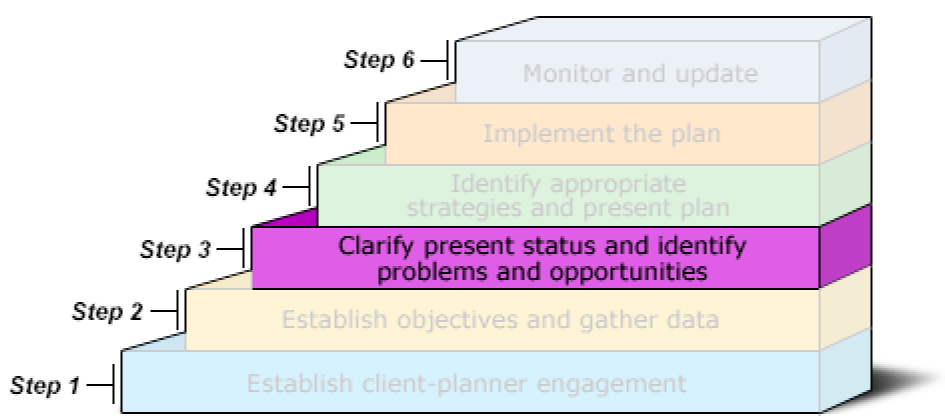
- Where do I want to live when I am retired?
- Do I want to take on a second career?
- Will I keep busy with volunteer work?
- Do I want to travel, engage in any hobbies, or go back to school?

In addition to helping identify his or her objectives, these types of questions will help your client to prepare psychologically for retirement. In addition, the objectives themselves can become powerful motivators, giving your client the resolve to make the current lifestyle changes that may be required to achieve his or her retirement objectives.

There is a distinct possibility that the client may not be able to achieve all of his or her retirement objectives, and that in fact, some of the objectives may conflict with each other. For example, many clients want both financial security and early retirement, but it may not be possible. Therefore, you should encourage your clients to assign priorities to each objective.

Step 3: Clarify Present Status and Identify Problem Areas and Opportunities

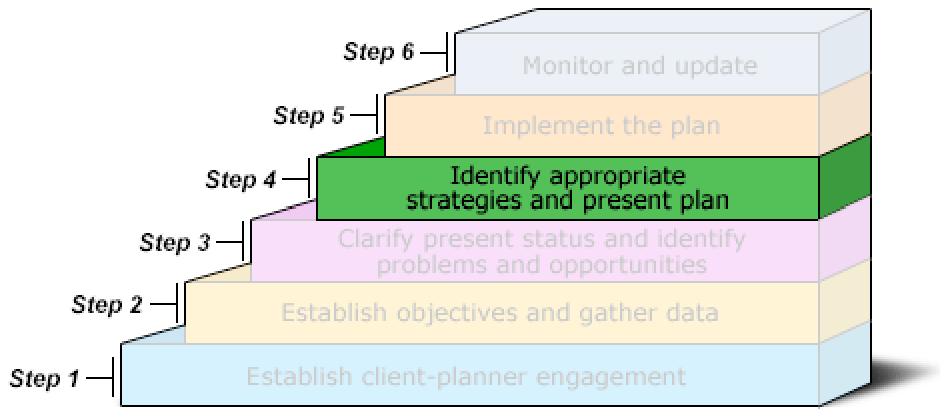
In addition to gaining an understanding of your client's objectives, it is important for you to fully understand your client's current financial position, as well as his or her future income potential. You should also be aware of any other financial obligations or objectives that might interfere or conflict with his or her retirement objectives (for example, providing for his or her children's education).



Your client's current financial position and income potential can be estimated by having him or her fill out data-gathering worksheets. The completed worksheets will help you to determine the assets and income that are currently available to your client, how your client currently disposes of the income, and what resources may be available to your client for future retirement funding.

Step 4: Identify Appropriate Strategies and Present Plan

Once you have a good understanding of your client's current financial position, as well as his or her retirement objectives, you will be in a position to project the income needed at retirement, and to determine the savings that your client must accumulate to fund that level of income.



A client's need for retirement funding will be affected by the following:

- his or her estimated financial needs during retirement
- the anticipated income from employer-sponsored pension plans, Canada Pension Plan, Old Age Security program, and part-time employment after retirement
- the current value of his or her retirement plan assets and other investment assets that might be used to provide retirement funds
- the remaining time until his or her retirement
- the amount he or she is currently saving towards retirement
- the life expectancy of the client and his or her spouse
- the anticipated inflation rate for the remainder of his or her life expectancy
- the anticipated rate of return on investments
- the anticipated income tax rates

While many of these factors may be nearly impossible to predict with any accuracy in the short term (for example, interest rates and inflation), if the retirement planning horizon is sufficiently long, history may provide a basis for a reasonable approximation of the future.

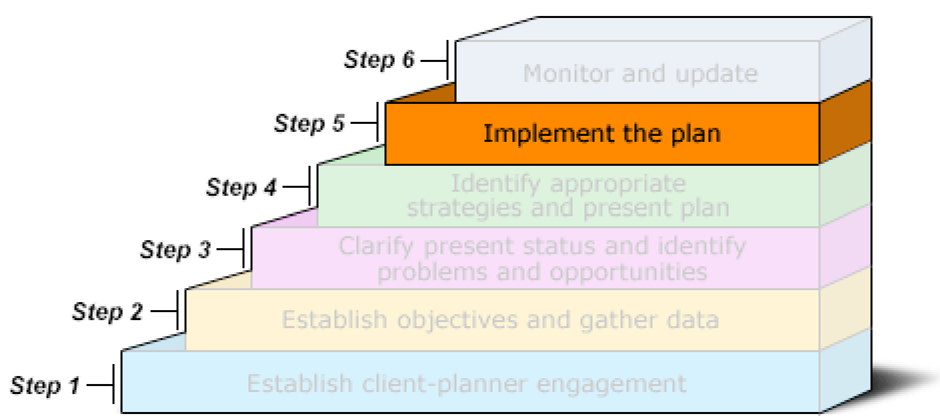
Despite your best efforts to develop reasonable assumptions, it is important that your client understands that no one can precisely predict the future. The best that you can do is provide reasonable assumptions for the purpose of providing direction for your client's retirement plan. You should discuss and review the applicable assumptions with your client. Some clients may prefer to use more aggressive or conservative assumptions, without regard to any historical norms.

Once you have determined the funding that will be needed at retirement (for example, the client may need to accumulate $400,000 by age 65, in addition to his or her employer's pension, CPP, and OAS benefits), you can then develop strategies for accumulating those funds. This strategy could be relatively simple, such as contributing $6,000 to his or her RRSP each year, or it could be tied into inflation or salary increases, such as beginning to contribute $6,000 to his or her RRSP this year and increasing this amount by 5% each year.

You may determine that the savings required for retirement are more than the amount currently available for savings. In this case, your client should re-examine his or her retirement objectives to determine if his or her need for retirement funds can be reduced (perhaps by postponing his or her retirement or downgrading his or her retirement lifestyle). Your client may also have to re-examine his or her current lifestyle to determine if additional funds can be allocated to retirement savings. With the advice of an investment planner, your client can also re-evaluate his or her investment choices to determine if he or she can increase his or her investment returns without exceeding his or her tolerance for risk.

Step 5: Implement the Plan

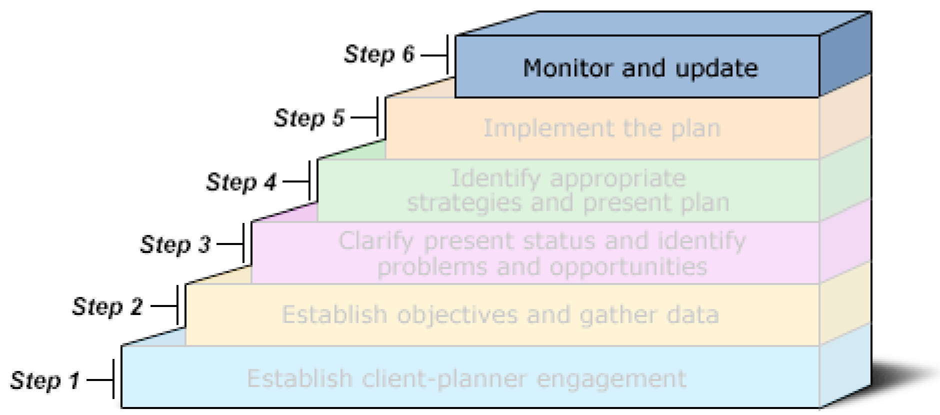
Once a strategy for accumulating the required level of retirement funds is developed, your client must implement that strategy. Often at this point, your client may seek the advice of an investment specialist. However, as a retirement planner, you may still have a role to play by reviewing your client's investment choices to ensure that they are consistent with the retirement plan.



Many people are procrastinators by nature and put off making their RRSP contributions until the last possible minute. You can encourage your clients to make their contributions early in the taxation year to take advantage of the additional tax-deferred growth during the year. You may also encourage your clients to establish a regular and automated system of contributing to their retirement savings. Most financial institutions now facilitate the regular periodic transfer of funds into an RRSP and other saving plans.

Step 6: Monitor and Update

Monitoring is an essential component of any financial planning process but is particularly important in retirement planning because assumptions will not remain valid over the long planning horizon. Periodic reviews and updates are needed to evaluate progress towards your client's retirement objectives. If the investments are not performing as expected or if inflation or income levels have deviated significantly from the assumptions in the original plan, the strategies may have to be modified to ensure that the retirement objectives can still be achieved.



The frequency of monitoring depends on the client. Many people are satisfied with an annual review, while those close to retirement might appreciate more frequent updates. For younger clients, updates every three to five years might be sufficient, unless there is a significant change in the client's situation, such as divorce, inheritance, career change or birth of a child.

The actual implementation of a retirement plan is the first step—ongoing review is crucial to ensure the original objectives and assumptions remain valid. The retirement plan should be reviewed to identify: material changes in the life of your client (for example, change in marital status), changes in your client's financial objectives (for example, your client wants to retire earlier than anticipated) and economic changes (for example, lower than projected rate of return on investments).

Click the icon below to view a checklist that you can use on the job. It lists some of the material changes, changes in financial objectives, and any economic changes you should review with your client as part of monitoring progress.

Documentation

You cannot prepare a retirement savings plan or a post-retirement plan without a clear understanding of your client's resources, or without making assumptions (rate of inflation, income growth rates, return on investments, tax rates). Any retirement planning exercise must include full documentation of the data gathered and the assumption used to develop the plan. A statement regarding the uncertainty of these assumptions should also be included.

The strategies developed in Step 3 are critical to the implementation of a successful retirement plan. Too often they have not been delivered in writing by the planner and have not been fully understood by the client. Documenting your recommendations is required by the professional standards established for personal financial planners.

Assisting in Specific Retirement Decisions

In addition to preparing overall retirement plans, retirement planners are often asked to provide advice in dealing with specific retirement decisions. Here is a brief description of some of these decisions.